

CONSOLIDATED FINANCIAL STATEMENTS AND
SUPPLEMENTARY INFORMATION

Northwell Health, Inc.
Years Ended December 31, 2025 and 2024
With Report of Independent Auditors



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Northwell Health, Inc.

Consolidated Financial Statements
and Supplementary Information

Years Ended December 31, 2025 and 2024

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Report of Independent Auditors

The Board of Trustees
Northwell Health, Inc.

Opinion

We have audited the consolidated financial statements of Northwell Health, Inc. and its member corporations and other controlled affiliated entities (collectively, Northwell), which comprise the consolidated statements of financial position as of December 31, 2025 and 2024, and the related consolidated statements of operations, changes in net assets and cash flows for the years then ended, and the related notes (collectively referred to as the “financial statements”).

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of Northwell at December 31, 2025 and 2024, and the results of its operations, changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor’s Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Northwell and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Northwell’s ability to continue as a going concern for one year after the date that the financial statements are issued.



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Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Northwell's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Northwell's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.



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Other Information

Management is responsible for the other information included in the Annual Financial Information and Operating Data Report (the Annual Financial Report). The other information comprises the Annual Financial Report but does not include the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying consolidating and combining statements of financial position as of December 31, 2025 and consolidating and combining statements of operations for the year then ended are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the information is fairly stated, in all material respects, in relation to the financial statements as a whole.

Ernst + Young LLP

April 28, 2026

Northwell Health, Inc.

Consolidated Statements of Financial Position (In Thousands)

	December 31	
	2025	2024
Assets		
Current assets:		
Cash and cash equivalents	\$ 863,915	\$ 830,371
Short-term investments	4,591,866	4,274,483
Accounts receivable for services to patients, net	2,033,385	1,846,024
Accounts receivable for physician activities, net	542,454	439,136
Current portion of pledges receivable	72,333	72,944
Current portion of insurance claims receivable	19,752	23,914
Other current assets	783,516	778,621
Total current assets	8,907,221	8,265,493
Long-term investments	4,339,960	4,254,273
Pledges receivable, net of current portion	141,778	160,475
Property, plant and equipment, net	9,183,299	8,326,058
Right-of-use assets – operating leases	1,159,684	1,115,615
Insurance claims receivable, net of current portion	210,501	280,760
Other assets	645,445	772,105
Total assets	\$ 24,587,888	\$ 23,174,779
Liabilities and net assets		
Current liabilities:		
Short-term borrowings	\$ 350,000	\$ 246,000
Accounts payable and accrued expenses	1,433,910	1,295,292
Accrued salaries and related benefits	2,023,147	1,889,451
Current portion of operating lease obligations	161,228	155,075
Current portion of finance lease obligations	4,497	5,264
Current portion of long-term debt	108,068	53,061
Current portion of insurance claims liability	19,752	23,914
Current portion of malpractice and other insurance liabilities	289,615	298,423
Current portion of estimated payables to third-party payers	391,279	407,850
Total current liabilities	4,781,496	4,374,330
Accrued retirement benefits, net of current portion	963,461	732,472
Operating lease obligations, net of current portion	1,077,529	1,028,582
Finance lease obligations, net of current portion	226,266	212,052
Long-term debt, net of current portion	4,734,020	4,854,374
Insurance claims liability, net of current portion	210,501	280,760
Malpractice and other insurance liabilities, net of current portion	2,525,487	2,355,831
Other long-term liabilities	1,224,595	1,131,136
Total liabilities	15,743,355	14,969,537
Commitments and contingencies		
Net assets:		
Without donor restrictions	7,685,930	7,109,103
With donor restrictions	1,158,603	1,096,139
Total net assets	8,844,533	8,205,242
Total liabilities and net assets	\$ 24,587,888	\$ 23,174,779

See accompanying notes.

Northwell Health, Inc.

Consolidated Statements of Operations (In Thousands)

	Year Ended December 31	
	2025	2024
Operating revenue:		
Net patient service revenue	\$ 13,865,706	\$ 12,977,914
Physician practice revenue	3,910,326	3,524,473
Total patient revenue	17,776,032	16,502,387
Other operating revenue	2,187,902	2,032,581
Net assets released from restrictions used for operations	83,980	74,704
Total operating revenue	20,047,914	18,609,672
Operating expenses:		
Salaries	10,422,371	9,623,893
Employee benefits	2,188,676	1,965,120
Supplies and expenses	6,166,719	5,770,694
Depreciation and amortization	826,329	772,311
Interest	195,828	185,766
Total operating expenses	19,799,923	18,317,784
Excess of operating revenue over operating expenses	247,991	291,888
Non-operating gains and losses:		
Investment income	456,886	315,373
Change in net unrealized gains and losses and change in value of equity method investments	117,558	264,456
Non-operating net periodic benefit credit	1,471	1,443
Gain on refunding of long-term debt	13,329	—
Other non-operating gains and losses	(27,567)	(25,369)
Total non-operating gains and losses	561,677	555,903
Excess of revenue and gains and losses over expenses	809,668	847,791
Net assets released from restrictions for capital asset acquisitions	57,828	48,962
Pension and other postretirement liability adjustments	(40,738)	69,683
Transfers to Nuvance Health	(224,666)	—
Other changes in net assets	(25,265)	(17,120)
Increase in net assets without donor restrictions	\$ 576,827	\$ 949,316

See accompanying notes.

Northwell Health, Inc.

Consolidated Statements of Changes in Net Assets
(In Thousands)

	Net Assets		
	Without Donor Restrictions	With Donor Restrictions	Total
Net assets, January 1, 2024	\$ 6,159,787	\$ 1,034,204	\$ 7,193,991
Contributions and grants	—	160,612	160,612
Investment income	—	24,819	24,819
Change in net unrealized gains and losses and change in value of equity method investments	—	17,925	17,925
Excess of revenue and gains and losses over expenses	847,791	—	847,791
Net assets released from restrictions for:			
Capital asset acquisitions	48,962	(48,962)	—
Operations	—	(74,704)	(74,704)
Non-operating activities	—	(9,193)	(9,193)
Pension and other postretirement liability adjustments	69,683	—	69,683
Other changes in net assets	(17,120)	(8,562)	(25,682)
Increase in net assets	949,316	61,935	1,011,251
Net assets, December 31, 2024	\$ 7,109,103	\$ 1,096,139	\$ 8,205,242

	Net Assets		
	Without Donor Restrictions	With Donor Restrictions	Total
Net assets, January 1, 2025	\$ 7,109,103	\$ 1,096,139	\$ 8,205,242
Contributions and grants	—	162,812	162,812
Investment income	—	29,499	29,499
Change in net unrealized gains and losses and change in value of equity method investments	—	15,516	15,516
Excess of revenue and gains and losses over expenses	809,668	—	809,668
Net assets released from restrictions for:			
Capital asset acquisitions	57,828	(57,828)	—
Operations	—	(83,980)	(83,980)
Non-operating activities	—	(6,765)	(6,765)
Pension and other postretirement liability adjustments	(40,738)	—	(40,738)
Transfers to Nuvance Health	(224,666)	—	(224,666)
Other changes in net assets	(25,265)	3,210	(22,055)
Increase in net assets	576,827	62,464	639,291
Net assets, December 31, 2025	\$ 7,685,930	\$ 1,158,603	\$ 8,844,533

See accompanying notes.

Northwell Health, Inc.

Consolidated Statements of Cash Flows (In Thousands)

	Year Ended December 31	
	2025	2024
Operating activities		
Increase in net assets	\$ 639,291	\$ 1,011,251
Adjustments to reconcile increase in net assets to net cash provided by operating activities:		
Permanent endowment donor contributions	(22,033)	(21,426)
Depreciation and amortization	826,329	772,311
Amortization of bond premiums, discounts and financing costs	(4,897)	(2,213)
Net realized gains and losses, change in net unrealized gains and losses and change in value of equity method investments	(533,484)	(534,736)
Gain on refunding of long-term debt	(13,329)	—
Forgiveness of Nuvance Health subordinated loan	150,000	—
Cash transfers to Nuvance Health	74,666	—
Changes in operating assets and liabilities:		
Accounts receivable for services to patients, net	(187,361)	(102,367)
Accounts receivable for physician activities, net	(103,318)	(18,800)
Pledges receivable	20,462	(772)
Accrued salaries and related benefits	133,696	211,817
Current portion of estimated payables to third-party payers	(16,571)	41,325
Accrued retirement benefits, net of current portion	101,368	5,362
Malpractice and other insurance liabilities	160,848	311,098
Net change in all other operating assets and liabilities	246,263	91,485
Net cash provided by operating activities	1,471,930	1,764,335
Investing activities		
Capital expenditures	(1,668,845)	(1,453,999)
Subordinated loan to Nuvance Health	—	(150,000)
Cash invested in short-term and long-term investments	(5,452,102)	(8,311,229)
Proceeds from sales of short-term and long-term investments	5,497,436	7,505,524
Payments for acquisitions and clinical joint venture investments, net	(28,248)	(20,919)
Net cash used in investing activities	(1,651,759)	(2,430,623)
Financing activities		
Principal payments on long-term debt and finance lease obligations	(54,578)	(161,574)
Payments on refunded long-term debt	(387,065)	(65,000)
Payments on short-term borrowings	(1,000)	(254,158)
Proceeds from short-term borrowings	105,000	254,158
Proceeds from long-term debt	392,128	816,838
Payments for financing costs	(2,026)	(5,941)
Cash transfers to Nuvance Health	(74,666)	—
Proceeds from permanent endowment donor contributions	20,879	20,121
Net cash (used in) provided by financing activities	(1,328)	604,444
Net decrease in cash and cash equivalents (unrestricted and restricted)	(181,157)	(61,844)
Cash and cash equivalents (unrestricted and restricted), beginning of year	1,244,901	1,306,745
Cash and cash equivalents (unrestricted and restricted), end of year	\$ 1,063,744	\$ 1,244,901
Supplemental disclosure of cash flow information		
Cash paid during the year for interest (exclusive of amounts capitalized)	\$ 205,423	\$ 183,738

See accompanying notes.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (In Thousands)

December 31, 2025

1. Organization and Principles of Consolidation

Northwell Health, Inc., inclusive of its member corporations and other controlled affiliated entities (collectively, Northwell), is an integrated health care delivery system in the New York metropolitan area. Effective July 2024, Northwell, Inc., (the Corporation) became the ultimate sole corporate member and parent of Northwell.

Effective May 1, 2025, the Corporation became the ultimate sole corporate member of Nuvance Health (Nuvance), expanding the service area to the Hudson Valley of New York and Western Connecticut. Nuvance is a health care delivery system located in Western Connecticut and Putnam and Dutchess Counties, New York, with seven hospitals and approximately \$3,100,000 in annual operating revenue. The Corporation, as the parent of Northwell and Nuvance, has the same legal authority over, and responsibilities to, both Northwell and Nuvance. Northwell and Nuvance report financial results separately, and neither is liable for the other's obligations.

The accompanying consolidated financial statements include the accounts of the following principal operating organizations of Northwell, but exclude the accounts and operations of Nuvance. All Northwell interorganization accounts and activities have been eliminated in consolidation.

Hospitals

- North Shore University Hospital (NSUH), including Syosset Hospital
- Long Island Jewish Medical Center (LIJMC), including Long Island Jewish Hospital, Long Island Jewish Forest Hills, Long Island Jewish Valley Stream, Steven and Alexandra Cohen Children's Medical Center of New York, Zucker Hillside Hospital and Orzac Center for Rehabilitation
- Staten Island University Hospital, including the North and Prince's Bay campuses (Staten Island)
- Lenox Hill Hospital (Lenox), including Northwell Greenwich Village Hospital and Manhattan Eye, Ear & Throat Hospital
- South Shore University Hospital (SSUH)
- Glen Cove Hospital (Glen Cove)
- Huntington Hospital Association (Huntington)
- Plainview Hospital (Plainview)
- The Long Island Home (South Oaks Hospital)
- Phelps Memorial Hospital Association (Phelps)
- Northern Westchester Hospital Association (Northern Westchester)
- Peconic Bay Medical Center (Peconic)
- John T. Mather Memorial Hospital (Mather)

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

1. Organization and Principles of Consolidation (continued)

Other Entities

- Northwell Health, Inc. and Northwell Healthcare, Inc. (HCI) – parent holding companies
- Northwell Health Stern Family Center for Rehabilitation (Stern) – skilled nursing facility and rehabilitation center
- Northwell Health Laboratories – laboratory services
- North Shore Health System Enterprises, Inc. and True North Health Services Company, LLC – holding companies for certain related entities
- RegionCare, Inc. – infusion therapy and licensed home health agency services
- North Shore Community Services, Inc. – real estate holdings and related services
- North Shore University Hospital Housing, Inc., North Shore University Hospital at Glen Cove Housing, Inc. and Hillside Hospital Houses, Inc. – housing and auxiliary facilities for students and employees
- Visiting Nurse Association of Hudson Valley, Inc. – licensed home health agency services
- True North Health Pharmacy, Inc. and Vivo Health, Inc. – retail pharmacy and pharmacy benefit management companies
- North Shore-LIJ and Yale New Haven Medical Air Transport, LLC (SkyHealth) – medical air transport company 100% owned by Northwell
- Long Island Center for Digestive Health, LLC – outpatient endoscopy center 51% owned by Northwell
- Surgical Specialty Center of Westchester, LLC – outpatient ambulatory surgery center 51% owned by Northwell
- The Feinstein Institutes for Medical Research – medical research
- Northwell Foundation – fundraising
- Hospice Care Network – hospice services
- Regional Insurance Company Ltd. (Regional Insurance) – captive insurance company providing excess professional liability insurance
- Montauk Risk Retention Group, Inc. – captive insurance company providing professional and general liability insurance
- Northwell Family Health Center at Huntington – community health center
- Staten Island Performing Provider System, LLC – population health organization
- Endoscopy Center of Long Island, LLC – outpatient endoscopy center 73% owned by Northwell
- Endo Group, LLC – outpatient ambulatory surgery center 53% owned by Northwell
- DHCH, LLC (Digestive Health Center of Huntington) – outpatient endoscopy center 55.8% owned by Northwell
- South Shore Surgery Center, LLC – outpatient ambulatory surgery center 65% owned by Northwell
- Melville SC, LLC – outpatient ambulatory surgery center 50.1% owned by Northwell
- Lynbrook SC, LLC – outpatient ambulatory surgery center 100% owned by Northwell
- Port Jefferson ASC, LLC – outpatient ambulatory surgery center 70% owned by Northwell
- Affiliated professional corporations

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

1. Organization and Principles of Consolidation (continued)

Most entities within Northwell are exempt from federal income taxes on related income under the provisions of Section 501(a) of the Internal Revenue Code (the Code) as organizations described in Section 501(c)(3), while certain entities are not exempt from such income taxes. The exempt organizations also are exempt from New York State and local income taxes.

Certain members of Northwell (collectively referred to herein as the Obligated Group) are jointly and severally liable for obligations under bond indentures (see Note 8). The Obligated Group consists of HCI, NSUH, LIJMC, Staten Island, Lenox, SSUH, Huntington, Glen Cove, Plainview, Phelps, Northern Westchester, Peconic, Mather and Stern. Phelps, Northern Westchester, Peconic and Mather joined the Obligated Group during 2024.

Northwell maintains a controlling ownership in various entities, whose results of operations are included in the accompanying consolidated financial statements. Northwell's non-controlling interest in these entities at December 31, 2025 and 2024 is immaterial, both individually and in the aggregate, to Northwell's net assets and excess of revenue and gains and losses over expenses, as reported in the accompanying consolidated financial statements.

During 2025 and 2024, Northwell acquired various physician practices and other health providers. These acquisitions were accounted for as business combinations. The fair value of assets acquired during 2025 and 2024 totaled approximately \$10,000 and \$15,000, respectively.

As part of the affiliation agreement with Nuvance, Northwell committed to make future contributions to support its strategic capital needs and made a subordinated loan to Nuvance for \$150,000 in April 2024, which is included in other assets in the accompanying consolidated statement of financial position at December 31, 2024. In October 2025, the subordinated loan was forgiven by Northwell retroactive to the May 1, 2025 affiliation closing date. At December 31, 2025, Northwell has approximately \$775,000 remaining for the capital commitment to Nuvance. Except for the transfers to Nuvance reported in the accompanying consolidated statement of operations for the year ended December 31, 2025, related party transactions between Northwell and Nuvance were not material.

Northwell, Inc. is the parent of Northwell and Nuvance and has the same legal authority over, and responsibilities to, both Northwell and Nuvance. Northwell and Nuvance report financial results separately, and neither is liable for the other's obligations. The accompanying consolidated financial statements exclude the accounts and operations of Nuvance.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

1. Organization and Principles of Consolidation (continued)

COVID-19 Relief Funding

Management is still pursuing opportunities for COVID-19 federal relief funding, including funding from the Federal Emergency Management Agency (FEMA). Included in other operating revenue in the accompanying consolidated statements of operations for the years ended December 31, 2025 and 2024 is \$68,029 and \$107,054, respectively, of FEMA grant revenue for incremental COVID-19 related costs incurred in 2020 through 2022. In addition, \$7,460 of FEMA grant revenue is included in net assets released from restrictions for capital asset acquisitions in the accompanying consolidated statement of operations for the year ended December 31, 2024 (none in 2025). Also included in other operating revenue in the accompanying consolidated statements of operations for the years ended December 31, 2025 and 2024 is \$48,784 and \$91,194, respectively, related to the Employee Retention Credit available under the Coronavirus Aid, Relief, and Economic Security (CARES) Act, which is a credit against the employer portion of social security taxes for certain wages during 2020 and 2021 that Northwell applied for in January 2024 and April 2025. Included in other current assets in the accompanying consolidated statements of financial position at December 31, 2025 and 2024 is a corresponding receivable of \$2,284 and \$48,767, respectively, for FEMA grant revenue and \$73,605 and \$91,194, respectively, for the Employee Retention Credit. In addition to the amounts noted above, in February 2026, approximately \$264,000 of claims for COVID-19 related costs were obligated by FEMA for future payment to Northwell.

2. Summary of Significant Accounting Policies

Consolidated Statements of Operations

The accompanying consolidated statements of operations include the excess of revenue and gains and losses over expenses as the performance indicator. For purposes of display, transactions deemed by management to be ongoing, major or central to the provision of health care services are reported as operating revenue and operating expenses; peripheral or incidental transactions and unusual, nonrecurring items are reported as non-operating gains and losses.

Net assets released from restrictions for capital asset acquisitions, pension and other postretirement liability adjustments, transfers to Nuvance Health and other changes in net assets are excluded from Northwell's performance indicator.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

2. Summary of Significant Accounting Policies (continued)

Recent Accounting Pronouncements

In September 2025, the Financial Accounting Standards Board issued Accounting Standards Update (ASU) 2025-06, *Intangibles – Goodwill and Other (Topic 350): Internal-Use Software* (ASU 2025-06). The main objective of ASU 2025-06 is to modernize the accounting for software costs that are accounted for under Subtopic 350-40, *Intangibles – Goodwill and Other – Internal-Use Software* (referred to as “internal-use software”). The amendments remove all references to prescriptive and sequential software development stages and now require a company to begin capitalizing software costs when both of the following occur: (1) management has authorized and committed to funding the software project, and (2) it is probable that the project will be completed and the software will be used to perform the function intended (referred to as the “probable-to-complete recognition threshold”). Northwell is evaluating ASU 2025-06 as it is effective for all entities for annual reporting period beginning after December 15, 2027.

Use of Estimates

The preparation of financial statements in accordance with accounting principles generally accepted in the United States of America (GAAP) requires management to make estimates and assumptions that affect the reported amounts of assets, including accounts receivable for services to patients, and liabilities, including accounts payable and accrued expenses, estimated payables to third-party payers, accrued retirement benefits and malpractice and other insurance liabilities, and disclosures of contingent assets and liabilities at the date of the financial statements. Estimates also affect the reported amounts of revenue and expenses during the period. Actual results could differ from those estimates.

Cash and Cash Equivalents

Northwell classifies all highly liquid financial instruments purchased with a maturity of three months or less as cash equivalents. Northwell maintains cash on deposit with major banks and invests in money market securities with financial institutions which exceed federally-insured limits. Management believes the credit risk related to these deposits is minimal. Northwell does not hold any money market funds with significant liquidity restrictions that would be required to be excluded from cash equivalents.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

2. Summary of Significant Accounting Policies (continued)

Cash and cash equivalents (unrestricted and restricted), as reported in the accompanying consolidated statements of cash flows, are reported within the following categories in the accompanying consolidated statements of financial position as of December 31, 2025 and 2024:

	<u>2025</u>	<u>2024</u>
Cash and cash equivalents	\$ 863,915	\$ 830,371
Short and long-term investments	199,829	414,530
	<u>\$ 1,063,744</u>	<u>\$ 1,244,901</u>

Pledges Receivable

Pledges (promises to give), less an allowance for uncollectible amounts, are recorded as receivables in the year made at net present value and are recorded as additions to net assets with donor restrictions. Pledges receivable that are due more than one year from the consolidated statements of financial position date are discounted to reflect the present value of future cash flows.

Investments

Short-term and long-term investments include cash and cash equivalents, marketable securities and other investments. Marketable securities are classified as trading securities. Investments in debt securities, equity securities and mutual funds with readily determinable fair values are reported at fair value, based on quoted market prices. Investment transactions are recorded on the trade date.

Northwell has also invested in alternative investments, including funds of hedge funds, private equity investments, private real estate funds and private credit funds. These alternative investments are not readily marketable and are reported under the equity method of accounting. The equity method reflects Northwell's share of the net asset value of the respective funds.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

2. Summary of Significant Accounting Policies (continued)

Individual investment holdings of the funds of hedge funds, private equity investments, private real estate funds and private credit funds may include investments in both nonmarketable and market-traded securities. Valuations of these investments, and therefore Northwell's holdings, may be determined by the investment managers or general partners. Values may be based on estimates that require varying degrees of judgment. Recorded estimates may change by a material amount in the near term. These investments may indirectly expose Northwell to securities lending, short sales of securities and trading in futures and forwards contracts, options and other derivative products. However, Northwell's risk is limited to its amounts invested. At December 31, 2025, Northwell has future commitments of \$368,801 and \$456,237 to invest in private equity investments, private real estate funds and private credit funds for pension and restricted assets, respectively.

Northwell is also invested in commingled fixed income and equity funds. The underlying investment holdings of the commingled funds are predominantly marketable securities. These investments are reported either at fair value based on quoted market prices, if their fair values are readily determinable, or under the equity method of accounting, which approximates fair value. The equity method reflects Northwell's share of the net asset value of these investments.

The financial statements of the alternative investments and commingled fixed income and equity funds noted above are audited annually by independent auditors, although the timing for reporting the results of such audits for certain investments does not coincide with Northwell's annual financial statement reporting.

Other investments also include non-controlling interests in non-clinical joint ventures held by Northwell for investment purposes. Such investments are accounted for under the equity method or at cost less any impairment, adjusted for observable price changes for an identical or similar investment of the same issuer (Adjusted Cost).

Included in short-term and long-term investments are assets limited as to use, which include funds held pursuant to debt financing arrangements, management designated funds (including malpractice and other self-insurance assets), deferred employee compensation plan assets and donor restricted assets. Amounts required to meet current liabilities are reported as short-term investments. Northwell has future commitments of approximately \$360,000 at December 31, 2025 to purchase additional investments included in assets limited as to use in addition to the private equity, private real estate and private credit commitment amounts noted above.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

2. Summary of Significant Accounting Policies (continued)

Investment income (including realized gains and losses on investments, interest and dividends, net of fees) and the change in net unrealized gains and losses and change in value of equity method investments are included in the performance indicator, unless the income or loss is restricted by donor or law. Interest and dividend income earned on Northwell's management designated malpractice and other self-insurance assets and management designated taxable debt sinking funds is recorded in other operating revenue in the accompanying consolidated statements of operations.

Inventory of Supplies

Inventory, included in other current assets, is stated at the lower of cost or net realizable value.

Insurance Claims Receivable and Liability

For medical malpractice and similar contingent liabilities, Northwell determines such claims liabilities without consideration of insurance recoveries. Accordingly, Northwell recognizes insurance receivables at the same time that it recognizes the liabilities, measured on the same basis as the liabilities, subject to the need for a valuation allowance for uncollectible amounts in the accompanying consolidated statements of financial position. Such amounts represent the actuarially determined value of medical malpractice and other claims that are anticipated to be covered by insurance. These amounts were undiscounted at December 31, 2025 and 2024.

Property, Plant and Equipment

Property, plant and equipment is stated at cost or, in the case of gifts, at fair value at the date of the gift, less accumulated depreciation and amortization. Property, plant and equipment from acquired entities that existed at their respective acquisition dates was recorded at fair value based upon independent valuations. Depreciation and amortization of land improvements, buildings, fixed equipment and major movable equipment is computed by the straight-line method based upon the estimated useful lives of the assets, generally ranging from three to forty years.

Buildings and equipment under finance lease obligations and leasehold improvements are amortized using the straight-line method over the lesser of the estimated useful life of the asset or the lease term. Such amortization is included in depreciation and amortization in the accompanying consolidated financial statements.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

2. Summary of Significant Accounting Policies (continued)

During the period of construction of capital assets, interest costs are capitalized as a component of the cost of assets. When assets are disposed of, the carrying amounts of the assets and the related accumulated depreciation are removed from the accounts, and any resulting gain or loss on disposal is included in the performance indicator. When assets become fully depreciated, the carrying amounts of such assets and the related accumulated depreciation are removed from the accounts (see Note 6).

Long-Lived Assets

Gifts of long-lived assets are reported at fair value established at the date of contribution as changes in net assets without donor restrictions, excluded from the performance indicator, unless explicit donor stipulations specify how the donated asset must be used.

Long-lived assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. If long-lived assets are deemed to be impaired, the impairment to be recognized is measured as the amount by which the carrying amount of the assets exceeds the fair value. Northwell determined that there has been no impairment of its long-lived assets. Assets to be disposed of are reported at the lower of the carrying amount or the fair value, less costs to sell.

Other Assets

Other assets included in the accompanying consolidated statements of financial position primarily consist of goodwill and other intangible assets and investments in clinical joint ventures.

In connection with various acquisitions, Northwell has recognized goodwill and certain indefinite-lived intangible assets totaling approximately \$519,000 and \$510,000 at December 31, 2025 and 2024, respectively. These assets are subject to impairment testing on an annual basis. At December 31, 2025 and 2024, Northwell determined that there has been no impairment of these intangible assets.

Deferred Financing Costs

Deferred financing costs, included in long-term debt and finance lease obligations, represent costs incurred to obtain financing for various Northwell projects and initiatives. Amortization of these costs is provided over the term of the applicable indebtedness.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

2. Summary of Significant Accounting Policies (continued)

Other Long-Term Liabilities

Other long-term liabilities included in the accompanying consolidated statements of financial position primarily consist of the long-term portion of estimated payables to third-party payers and the long-term portion of expected payment obligations.

Classification of Net Assets

Northwell separately accounts for and reports net assets without donor restrictions and net assets with donor restrictions. Net assets without donor restrictions include resources that the governing board may use for any designated purpose and resources whose use is limited by an agreement between Northwell and an outside party other than the donor or grantor. Net assets with donor restrictions are those whose use by Northwell has been limited by donors to a specific time period or purpose. When donor restrictions expire, that is, when a time restriction ends or a purpose restriction is accomplished, these net assets are reclassified to net assets without donor restrictions and reported as net assets released from restrictions.

Certain net assets with donor restrictions have been restricted by donors to be maintained in perpetuity. Income from these net assets is available to support certain teaching, research and training programs.

Northwell also recognizes governmental grants where commensurate value is not exchanged as contributions when conditions and restrictions are satisfied and reports such amounts within other operating revenue or as net assets released from restrictions for operations or capital asset acquisitions in the consolidated statements of operations.

Donor Gifts

Gifts of cash and other assets, including unconditional promises to give cash and other assets (pledges), are reported at fair value when the gift is received (or promise is made). Northwell also receives conditional pledges, which are not reflected in the accompanying consolidated financial statements. As the conditions of the pledges are met, the pledges are recognized. At December 31, 2025 and 2024, \$137,561 and \$67,159, respectively, of conditional pledges have not been recognized in the accompanying consolidated statements of financial position.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

2. Summary of Significant Accounting Policies (continued)

Contributions and pledges raised through fundraising efforts for the years ended December 31, 2025 and 2024 are summarized as follows:

	<u>2025</u>	<u>2024</u>
Without donor restrictions	\$ 1,417	\$ 479
With donor restrictions	124,652	114,418
	<u>\$ 126,069</u>	<u>\$ 114,897</u>

Functional Expenses

Northwell provides health care services to residents primarily within its geographic areas and performs medical research. Expenses related to providing these services pertain to the following functional and natural categories for the year ended December 31, 2025:

	<u>2025</u>			
	<u>Health Care Services</u>	<u>Medical Research</u>	<u>General and Administrative</u>	<u>Total</u>
Salaries	\$ 8,893,771	\$ 101,364	\$ 1,427,236	\$ 10,422,371
Employee benefits	1,891,042	32,730	264,904	2,188,676
Supplies and expenses	5,649,826	73,213	443,680	6,166,719
Depreciation and amortization	723,944	8,013	94,372	826,329
Interest	173,242	—	22,586	195,828
	<u>\$ 17,331,825</u>	<u>\$ 215,320</u>	<u>\$ 2,252,778</u>	<u>\$ 19,799,923</u>

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

2. Summary of Significant Accounting Policies (continued)

Expenses related to providing these services pertain to the following functional and natural categories for the year ended December 31, 2024:

	2024			
	Health Care Services	Medical Research	General and Administrative	Total
Salaries	\$ 8,153,498	\$ 92,853	\$ 1,377,542	\$ 9,623,893
Employee benefits	1,657,603	27,684	279,833	1,965,120
Supplies and expenses	5,331,079	69,014	370,601	5,770,694
Depreciation and amortization	674,647	7,368	90,296	772,311
Interest	163,835	—	21,931	185,766
	<u>\$ 15,980,662</u>	<u>\$ 196,919</u>	<u>\$ 2,140,203</u>	<u>\$ 18,317,784</u>

The accompanying consolidated statements of operations report expense categories that are attributable to more than one health care service, medical research or support function. Costs not directly attributable to a function are allocated on a functional basis using internal records and estimates.

Tax Status

Certain entities included in Northwell's consolidated financial statements are taxable entities under federal or state laws. GAAP requires that the asset and liability method of accounting for income taxes be utilized by these organizations and for unrelated business activities of the tax-exempt entities included in Northwell's consolidated financial statements. Under the asset and liability method, deferred income taxes are recognized for the tax consequences of temporary differences by applying enacted statutory tax rates applicable to future years to differences between the financial statement carrying amounts and the tax basis of existing assets and liabilities.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

2. Summary of Significant Accounting Policies (continued)

At December 31, 2025 and 2024, Northwell has net deferred tax assets of approximately \$188,000 and \$189,000, respectively, which have been fully offset by a related valuation allowance. The deferred tax asset and related valuation allowance are recorded within other current assets in the accompanying consolidated statements of financial position. A valuation allowance is provided when it is more likely than not that some portion or all of a deferred tax asset will not be realized. Significant components of Northwell's deferred tax assets relate to net operating loss (NOL) carryforwards. Certain entities have NOL carryforwards aggregating approximately \$650,000 and \$643,000 at December 31, 2025 and 2024, respectively. NOL carryforwards generated prior to 2018 will expire in varying amounts through 2037 and are available to offset future taxable income of the respective entity. NOLs generated after 2017 can be carried forward indefinitely, but with limitations on their usage.

Reclassifications

For purposes of comparison, certain Notes to the Consolidated Financial Statements include reclassifications made to the amounts previously reported to conform with the 2025 presentation. These reclassifications have no effect on net assets or the excess of revenue and gains and losses over expenses as of and for the year ended December 31, 2024.

3. Accounts Receivable and Patient Revenue

Net patient service revenue and physician practice revenue (collectively, Patient Revenue) are reported at the amount that reflects the consideration to which Northwell expects to be entitled in exchange for providing patient care. These amounts are due from patients and third-party payers (including health insurers and government programs) and include various elements of variable consideration in determining a transaction price.

Northwell uses a portfolio approach to account for categories of patient contracts as a collective group, rather than recognizing revenue on an individual contract basis. The portfolios consist of major payer classes for Patient Revenue. Based on historical collection trends and other analyses, Northwell believes that revenue recognized by utilizing the portfolio approach approximates the revenue that would have been recognized if an individual contract approach was used.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

3. Accounts Receivable and Patient Revenue (continued)

Northwell's initial estimate of the transaction price for services provided to patients subject to revenue recognition is determined by reducing the total standard charges related to the patient services provided by various elements of variable consideration, including contractual adjustments, discounts, implicit price concessions and other reductions to Northwell's standard charges. Northwell determines the transaction price associated with services provided to patients who have third-party payer coverage on the basis of contractual rates, governmental rates or established charges for the services rendered. The estimates for contractual allowances and discounts are based on contractual agreements, Northwell's discount policies and historical experience. For uninsured patients who are ineligible for any government assistance program, Northwell provides services without charge or at amounts less than its established rates for patients who meet the criteria of its charity care policy. Because Northwell does not pursue collection of amounts determined to qualify as charity care, such services are not reported as Patient Revenue. For uninsured and under-insured patients who do not qualify for charity care, Northwell determines the transaction price associated with services on the basis of charges reduced by implicit price concessions. Implicit price concessions included in the estimate of the transaction price are based on Northwell's historical collection experience for applicable patient portfolios.

Generally, Northwell bills patients and third-party payers several days after the services are performed and/or the patient is discharged. Patient Revenue is recognized as performance obligations are satisfied. Performance obligations are determined based on the nature of the services provided by Northwell. Patient Revenue for performance obligations satisfied over time is recognized based on actual charges incurred in relation to total charges. Northwell believes that this method provides a reasonable depiction of the transfer of services over the term of the performance obligation based on the services needed to satisfy the obligation. Generally, performance obligations satisfied over time relate to patients receiving inpatient services or patients receiving services in Northwell's outpatient and ambulatory care centers. Northwell measures the performance obligation from admission into the hospital or the commencement of an outpatient or physician service to the point when it is no longer required to provide services to that patient, which is generally at the time of discharge or the completion of the outpatient or physician visit.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

3. Accounts Receivable and Patient Revenue (continued)

Substantially all of Northwell's performance obligations relate to contracts with a duration of less than one year; the unsatisfied or partially unsatisfied performance obligations referred to below are primarily related to inpatient services at the end of the reporting period for patients who remain admitted at that time (in-house patients). As such, accounts receivable related to in-house patients are considered contract assets as the performance obligation is not completed until the patients are discharged which, for the majority of the in-house patients, occurs within days or weeks after the end of the reporting period and at which point Northwell has the right to bill.

At December 31, 2025 and 2024, accounts receivable for services to patients, net is comprised of the following components:

	2025	2024
Receivables for services to patients	\$ 1,891,718	\$ 1,730,171
Contract assets (for in-house patients)	141,667	115,853
	<u>\$ 2,033,385</u>	<u>\$ 1,846,024</u>

Subsequent changes to the estimate of the transaction price (determined on a portfolio basis when applicable) are generally recorded as adjustments to Patient Revenue in the period of the change. For the years ended December 31, 2025 and 2024, changes in Northwell's estimates of implicit price concessions, discounts, contractual adjustments or other reductions to expected payments for performance obligations satisfied in prior years were not significant. Portfolio collection estimates are updated periodically based on collection trends. Subsequent changes that are determined to be the result of an adverse change in the payer's ability to pay based on current or future estimated credit losses (determined on a portfolio basis when applicable) are recorded as bad debt expense in supplies and expenses in the accompanying consolidated statements of operations. Bad debt expense and the related allowance for uncollectible accounts for the years ended and as of December 31, 2025 and 2024 were not significant.

Northwell has determined that the nature, amount, timing and uncertainty of revenue and cash flows are primarily affected by its mix of payers and services.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

3. Accounts Receivable and Patient Revenue (continued)

Patient Revenue for the years ended December 31, 2025 and 2024, by primary payer, is approximately as follows:

	2025	2024
Medicare and Medicare managed care	\$ 5,802,000	\$ 5,357,000
Medicaid and Medicaid managed care	2,143,000	2,136,000
Self-pay	141,000	116,000
Other third-party payers	9,690,000	8,893,000
	<u>\$ 17,776,000</u>	<u>\$ 16,502,000</u>

Deductibles, copayments and coinsurance under third-party payment programs which are the patient's responsibility are included within the appropriate primary payer category above.

Patient Revenue for the years ended December 31, 2025 and 2024, disaggregated by lines of service, is as follows:

	2025	2024
Net patient service revenue:		
Hospitals	\$ 13,504,357	\$ 12,649,618
Joint venture ambulatory surgery centers	149,766	121,660
Hospice Care Network	65,184	59,623
Stern (skilled nursing facility and rehabilitation center)	63,351	63,313
RegionCare, Inc.	59,169	58,093
Other	23,879	25,607
Net patient service revenue	<u>13,865,706</u>	<u>12,977,914</u>
Physician practice revenue	3,910,326	3,524,473
Total patient revenue	<u>\$17,776,032</u>	<u>\$16,502,387</u>

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

3. Accounts Receivable and Patient Revenue (continued)

Third-Party Payment Programs

Northwell has agreements with third-party payers that provide for payment for services rendered at amounts different from its established charges. A summary of the payment arrangements with major third-party payers follows:

Non-Medicare

In New York State, hospitals and all non-Medicare payers (including Medicare and Medicaid managed care plans), except Medicaid, workers' compensation and no-fault insurance programs, negotiate payment rates. If negotiated rates are not established, payers are billed at hospitals' established charges. Medicaid, workers' compensation and no-fault payers pay hospital rates promulgated by the New York State Department of Health (NYSDOH). Payments to hospitals for Medicaid, workers' compensation and no-fault inpatient services are based on a statewide prospective payment system, with retroactive and/or prospective adjustments for certain rate components paid concurrently with the settlement of the final rate. Outpatient services also are paid based on a statewide prospective system. Medicaid rate methodologies are subject to approval at the federal level by the Centers for Medicare and Medicaid Services (CMS), which may routinely request information about such methodologies prior to approval. Revenue related to specific rate components that have not been approved by CMS is not recognized until Northwell is reasonably assured that such amounts are realizable. Adjustments to the current and prior years' payment rates for those payers will continue to be made in future years.

Medicare

Hospitals are paid for most Medicare inpatient and outpatient services under national prospective payment systems and other methodologies of the Medicare program for certain other services. Federal regulations provide for certain adjustments to current and prior years' payment rates, based on industry-wide and Northwell-specific data.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

3. Accounts Receivable and Patient Revenue (continued)

Northwell has established estimates, based on information presently available, of amounts due to or from Medicare and non-Medicare payers for adjustments to current and prior years' payment rates, based on industry-wide and Northwell-specific data. The current Medicaid, Medicare and other third-party payer programs are based upon extremely complex laws and regulations that are subject to interpretation. Noncompliance with such laws and regulations could result in fines, penalties and exclusion from such programs. Northwell is not aware of any allegations of noncompliance that could have a material adverse effect on the accompanying consolidated financial statements and believes that it is in compliance in all material respects with all applicable laws and regulations. Medicare cost reports, which are filed individually by the applicable Northwell entities and serve as the basis for final settlement with the Medicare program, have been audited by the Medicare fiscal intermediary and settled through years ranging from 2018 to 2023. Other years remain open for audit and settlement, as do certain issues related to the New York State Medicaid program for prior years. As a result, there is at least a reasonable possibility that recorded estimates will change by a material amount when open years are settled and additional information is obtained.

Settlements with third-party payers for cost report filings and retroactive adjustments due to ongoing and future audits, reviews or investigations are considered variable consideration and are included in the determination of Patient Revenue. These settlements are estimated based on the terms of the payment agreement with the payer, correspondence from the payer and Northwell's historical settlement activity (for example, cost report final settlements or repayments related to recovery audits), including an assessment to ensure that it is probable that a significant reversal in the amount of cumulative revenue recognized will not occur when the uncertainty associated with the retroactive adjustment is subsequently resolved. Such estimates are determined through either a probability-weighted estimate or an estimate of the most likely amount, depending on the circumstances related to a given estimated settlement item. Estimated settlements are adjusted in future periods as adjustments become known (that is, new information becomes available), or as years are settled or are no longer subject to such audits, reviews and investigations. Changes in estimates relating to prior year settlements were not significant for the years ended December 31, 2025 and 2024.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

3. Accounts Receivable and Patient Revenue (continued)

There are various proposals at the federal and state levels that could, among other things, significantly reduce payment rates or modify payment methods. The ultimate outcome of these proposals and other market changes, including the potential effects of revisions to health care regulations that may be enacted by the federal and state governments, cannot presently be determined. Future changes in the Medicare and Medicaid programs and any reduction of funding could have an adverse impact on Northwell. Additionally, certain payers' payment rates for various years have been appealed by certain members of Northwell. If the appeals are successful, additional income applicable to those years could be realized.

Northwell grants credit without collateral to its patients, most of whom are insured under various third-party agreements. The significant concentrations of accounts receivable for services to patients, net at December 31, 2025 and 2024 were as follows:

	December 31	
	2025	2024
Medicare and Medicare managed care	24%	23%
Medicaid and Medicaid managed care	14	14
Self-pay	3	2
Other third-party payers	59	61
	100%	100%

Deductibles, copayments and coinsurance under third-party payment programs which are the patient's responsibility are included within the appropriate primary payer category above.

Charity Care

Together, charity care, implicit price concessions and bad debt expense represent uncompensated care. The estimated cost of total uncompensated care was approximately \$490,000 and \$440,000 for the years ended December 31, 2025 and 2024, respectively. The estimated cost of charity care provided was approximately \$350,000 and \$317,000 for the years ended December 31, 2025 and 2024, respectively. The estimated cost of uncompensated care and charity care is generally based on the ratio of cost to charges, as determined using Northwell-specific data.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

3. Accounts Receivable and Patient Revenue (continued)

The NYSDOH Hospital Indigent Care Pool (the Pool) was established to provide funds to hospitals for the provision of uncompensated care and is funded, in part, by a 1% assessment on hospital net inpatient service revenue. During the years ended December 31, 2025 and 2024, Northwell received distributions from the Pool of \$57,032 and \$14,694, respectively. Northwell made payments into the Pool of \$77,695 and \$81,270 during the years ended December 31, 2025 and 2024, respectively, for the 1% assessment.

4. Cash, Investments and Liquidity

Northwell's cash, cash equivalents and investments are reported in the accompanying consolidated statements of financial position as presented below at December 31, 2025 and 2024:

	<u>2025</u>	<u>2024</u>
Cash and cash equivalents	\$ 863,915	\$ 830,371
Short-term investments	4,591,866	4,274,483
Long-term investments	4,339,960	4,254,273
Total cash, cash equivalents and investments	9,795,741	9,359,127
Less assets limited as to use:		
Management designated malpractice and other self-insurance assets	2,007,424	1,806,847
Other management designated assets*	1,430,165	1,471,272
Donor restricted assets	539,027	465,956
Deferred employee compensation plan assets	678,967	549,346
Assets under bond indentures and other	218,921	511,542
Total assets limited as to use	4,874,504	4,804,963
Total unrestricted cash, cash equivalents and investments	<u>\$ 4,921,237</u>	<u>\$ 4,554,164</u>

* Other management designated assets include sinking funds established to repay Northwell's taxable debt and amounts designated to fund future capital expenditures.

The total unrestricted cash, cash equivalents and investments is used in Northwell's days cash on hand calculation, a required financial ratio for certain debt compliance covenants (see Note 8).

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

4. Cash, Investments and Liquidity (continued)

Short-term investments include \$671,842 and \$677,408 of assets limited as to use at December 31, 2025 and 2024, respectively. Long-term investments include \$4,202,662 and \$4,127,555 of assets limited as to use at December 31, 2025 and 2024, respectively.

Cash and cash equivalents, short-term investments and long-term investments, stated on the applicable measurement basis as described in Note 2, consist of the following at December 31, 2025:

	Total	Unrestricted Cash and Investments	Assets Limited as to Use
Cash and cash equivalents (including amounts in the investment portfolio)	\$ 1,063,744	\$ 951,161	\$ 112,583
U.S. Government obligations	351,348	210,598	140,750
Corporate and other bonds	768,037	557,235	210,802
Fixed income mutual funds	419,920	348,636	71,284
Commingled fixed income funds	1,145,233	741,413	403,820
Equity securities	1,925,198	1,179,466	745,732
Equity mutual funds	1,020,658	434,887	585,771
Commingled equity funds	490,310	223,923	266,387
Target-age mutual funds	270,426	—	270,426
Funds of hedge funds	864,866	253,563	611,303
Private equity investments	366,446	—	366,446
Private real estate funds	78,250	—	78,250
Private credit funds	177,159	—	177,159
Non-clinical joint venture investments	247,183	—	247,183
Other investments and accrued interest	606,963	20,355	586,608
	<u>\$ 9,795,741</u>	<u>\$ 4,921,237</u>	<u>\$ 4,874,504</u>

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

4. Cash, Investments and Liquidity (continued)

Cash and cash equivalents, short-term investments and long-term investments, stated on the applicable measurement basis as described in Note 2, consist of the following at December 31, 2024:

	Total	Unrestricted Cash and Investments	Assets Limited as to Use
Cash and cash equivalents (including amounts in the investment portfolio)	\$ 1,244,901	\$ 979,770	\$ 265,131
U.S. Government obligations	552,139	235,013	317,126
Corporate and other bonds	597,852	417,823	180,029
Fixed income mutual funds	402,778	333,187	69,591
Commingled fixed income funds	969,126	667,734	301,392
Convertible securities	800	650	150
Equity securities	1,977,337	1,290,195	687,142
Equity mutual funds	898,089	229,793	668,296
Commingled equity funds	602,777	372,275	230,502
Target-age mutual funds	204,034	—	204,034
Funds of hedge funds	780,892	—	780,892
Private equity investments	260,817	—	260,817
Private real estate funds	57,428	—	57,428
Private credit funds	100,718	—	100,718
Non-clinical joint venture investments	201,827	—	201,827
Other investments and accrued interest	507,612	27,724	479,888
	<u>\$ 9,359,127</u>	<u>\$ 4,554,164</u>	<u>\$ 4,804,963</u>

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

4. Cash, Investments and Liquidity (continued)

Investment income and the change in net unrealized gains and losses and change in value of equity method investments are comprised of the following for the years ended December 31, 2025 and 2024:

	2025		
	Without Donor Restrictions	With Donor Restrictions	Total
Investment income:			
Interest and dividend income, net of fees	\$ 143,197	\$ 3,764	\$ 146,961
Net realized gains and losses	374,675	25,735	400,410
Less interest and dividend income included in other operating revenue	(60,986)	—	(60,986)
	<u>\$ 456,886</u>	<u>\$ 29,499</u>	<u>\$ 486,385</u>
Change in net unrealized gains and losses and change in value of equity method investments:			
Change in net unrealized gains and losses	\$ (26,131)	\$ 975	\$ (25,156)
Equity method investment gains and losses	143,689	14,541	158,230
	<u>\$ 117,558</u>	<u>\$ 15,516</u>	<u>\$ 133,074</u>
	2024		
	Without Donor Restrictions	With Donor Restrictions	Total
Investment income:			
Interest and dividend income, net of fees	\$ 134,993	\$ 4,784	\$ 139,777
Net realized gains and losses	232,320	20,035	252,355
Less interest and dividend income included in other operating revenue	(51,940)	—	(51,940)
	<u>\$ 315,373</u>	<u>\$ 24,819</u>	<u>\$ 340,192</u>
Change in net unrealized gains and losses and change in value of equity method investments:			
Change in net unrealized gains and losses	\$ 143,953	\$ 7,703	\$ 151,656
Equity method investment gains and losses	120,503	10,222	130,725
	<u>\$ 264,456</u>	<u>\$ 17,925</u>	<u>\$ 282,381</u>

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

4. Cash, Investments and Liquidity (continued)

Liquidity

Financial assets available for general expenditure within one year of the accompanying consolidated statements of financial position date consist of the following at December 31, 2025 and 2024:

	2025	2024
Cash and cash equivalents	\$ 863,915	\$ 830,371
Short-term investments	3,920,024	3,597,075
Accounts receivable for services to patients, net	2,033,385	1,846,024
Accounts receivable for physician activities, net	542,454	439,136
	<u>\$ 7,359,778</u>	<u>\$ 6,712,606</u>

In addition to the assets above, Northwell also has assets limited as to use of \$671,842 and \$677,408 included within short-term investments on the accompanying consolidated statements of financial position at December 31, 2025 and 2024, respectively, which are designated to be used within the next year for specified purposes. Also, included within long-term investments on the accompanying consolidated statements of financial position at December 31, 2025 and 2024 are certain management designated assets limited as to use not currently available for general expenditure within the next year, but which could be made available if necessary. Refer to Note 2 for further discussion of assets limited as to use.

As part of Northwell's liquidity management plan, cash in excess of daily requirements is invested in marketable securities and other investments.

Additionally, Northwell has entered into various unsecured revolving credit facilities with commercial banks, as described in more detail in Note 8. As of December 31, 2025 and 2024, \$448,158 and \$548,158, respectively, remained available on such arrangements.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

5. Pledges Receivable

Pledges receivable at December 31, 2025 and 2024 consist of the following:

	<u>2025</u>	<u>2024</u>
Amounts expected to be collected in:		
Less than one year	\$ 101,742	\$ 105,149
One to five years	136,252	153,282
More than five years	39,144	56,831
	<u>277,138</u>	<u>315,262</u>
Less:		
Discount to present value future cash flows (discount rates ranging from 0.4% to 4.8%)	29,978	32,698
Allowance for uncollectible amounts	33,049	49,145
Current portion of pledges receivable	72,333	72,944
Pledges receivable, net of current portion	<u>\$ 141,778</u>	<u>\$ 160,475</u>

6. Property, Plant, and Equipment

Property, plant, and equipment and accumulated depreciation and amortization at December 31, 2025 and 2024 are summarized as follows:

	<u>2025</u>	<u>2024</u>
Land	\$ 1,124,688	\$ 1,088,306
Land improvements	34,563	31,390
Buildings and fixed equipment	7,011,849	6,636,737
Movable equipment	3,375,622	3,071,689
Leasehold improvements	30,943	26,402
	<u>11,577,665</u>	<u>10,854,524</u>
Less accumulated depreciation and amortization	4,083,711	3,836,730
	<u>7,493,954</u>	<u>7,017,794</u>
Construction and other projects-in-progress	1,689,345	1,308,264
	<u>\$ 9,183,299</u>	<u>\$ 8,326,058</u>

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

6. Property, Plant, and Equipment (continued)

Included in the property, plant, and equipment amount above as of December 31, 2025 and 2024 is approximately \$1,420,000 and \$1,130,000, respectively, in information technology software related costs, which is net of accumulated depreciation and amortization of approximately \$900,000 and \$810,000, respectively.

Northwell wrote off approximately \$579,000 and \$742,000 of fully depreciated assets in 2025 and 2024, respectively.

Net interest capitalized for the years ended December 31, 2025 and 2024 was approximately \$38,000 and \$33,000, respectively.

In March 2023, Northwell entered into an agreement with Epic Systems Corporation (Epic) to provide integrated electronic health records and revenue cycle solutions for each of Northwell's hospitals and outpatient facilities. The implementation is scheduled to go live in phases, and the first phase went live in November 2025. Northwell is committed to pay approximately \$350,000 for future work on this capital project at December 31, 2025.

In addition to the Epic project noted above, at December 31, 2025, Northwell is committed to pay approximately \$600,000 for future work on certain construction and other projects in progress.

7. Leases

Northwell leases certain medical offices, administrative offices and equipment under finance and operating leases. At the inception of a contract, a determination is made if the arrangement is or contains a lease. Leases are classified as either finance or operating leases, based on the underlying terms of the agreement and certain criteria, such as the term of the lease relative to the useful life of the asset and the total lease payments to be made as compared to the fair value of the asset, among other criteria.

As of December 31, 2025 and 2024, assets acquired under finance leases of \$181,505 and \$174,957, respectively, and accumulated amortization associated with finance leases of \$29,778 and \$32,640, respectively, are recorded in property, plant and equipment, net in the accompanying consolidated statements of financial position.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

7. Leases (continued)

Northwell's right-of-use assets pertaining to operating leases represent the right to use the agreement's underlying assets for the lease term, and the corresponding lease liabilities represent the obligation to make lease payments arising from the lease. Such right-of-use assets and lease liabilities are recognized at the lease's commencement date at the present value of lease payments over the lease term for leases with initial terms greater than one year. The present value of lease payments is calculated by utilizing the discount rate implicit in the lease, when readily determinable. For leases for which this rate is not readily determinable, Northwell uses its incremental borrowing rate for financing over a comparable period as the discount rate. A right-of-use asset and lease liability are not recognized for leases with an initial term of 12 months or less. Northwell recognizes lease expense for operating leases over the lease term within supplies and expenses on the consolidated statements of operations. The deferred rent liability resulting from recording operating lease expense using the straight-line method is reported as a reduction to right-of-use assets – operating leases line in the accompanying consolidated statements of financial position.

Northwell's operating and finance leases have remaining lease terms, ranging from less than one year to fifty-nine years, some of which may include options to extend. Lease payments related to periods subject to renewal options are excluded from the amounts used to determine the right-of-use assets and lease liabilities, unless Northwell is reasonably certain to exercise the option to extend the lease. Northwell's leases may also include variable lease payments. Variable lease payments are excluded from the amounts used to determine the right-of-use leased assets and liabilities, unless the variable lease payments depend on an index or rate or are in substance fixed payments.

Northwell does not separate lease components from fixed non-lease components in contracts in the accounting for its lease payments. As such, Northwell accounts for the applicable fixed non-lease components (e.g., fixed common area maintenance costs) together with the related lease components when determining the right-of-use assets and lease liabilities.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

7. Leases (continued)

The components of lease cost included in the accompanying consolidated statements of operations for the years ended December 31, 2025 and 2024 are as follows:

	2025	2024
Finance lease cost:		
Amortization of assets acquired under finance leases	\$ 6,625	\$ 6,638
Interest on finance lease obligations	13,351	12,944
Operating lease cost:		
Lease cost – leases with terms greater than one year	219,004	211,629
Short-term lease cost	6,107	4,957
Variable lease cost	41,643	36,808
Total lease cost	<u>\$ 286,730</u>	<u>\$ 272,976</u>

Other information related to leases and supplemental cash flows as of and for the years ended December 31, 2025 and 2024 are as follows:

	2025	2024
Operating cash flows for interest on finance leases	\$ 13,351	\$ 12,944
Operating cash flows for operating leases*	208,714	199,087
Financing cash flows for finance leases	4,686	4,432
Assets acquired under new finance lease obligations	18,041	22,587
Right-of-use leased assets obtained in exchange for new or amended operating lease obligations	214,516	156,816
Weighted-average remaining lease term:		
Finance leases	25 years	25 years
Operating leases	10 years	10 years
Weighted-average discount rate:		
Finance leases	6.5%	6.5%
Operating leases	4.7%	4.4%

* Cash flows relating to operating lease costs for leases with terms greater than one year. Excludes variable lease costs.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

7. Leases (continued)

The following table reconciles the undiscounted future lease payments to the lease obligations recorded on the accompanying consolidated statement of financial position at December 31, 2025:

	<u>Operating</u>	<u>Finance</u>
2026	\$ 214,909	\$ 17,435
2027	200,317	16,441
2028	181,854	16,457
2029	156,806	16,571
2030	139,384	16,662
Thereafter	707,160	376,369
Total minimum future payments	1,600,430	459,935
Less interest	361,673	227,704
Less net unamortized issuance costs	-	1,468
Total liabilities	1,238,757	230,763
Less current portion	161,228	4,497
Long-term liabilities	<u>\$ 1,077,529</u>	<u>\$ 226,266</u>

In March 2026, Northwell negotiated an early release from an existing operating lease. A non-operating loss of approximately \$58,000 resulted from the transaction and will be recognized in 2026.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

8. Debt

Long-Term Debt

Long-term debt at December 31, 2025 and 2024 consists of the following:

	2025	2024
Bonds payable at varying dates through May 2054 at fixed and variable interest rates ranging from 1.80% to 6.15%	\$ 4,338,004	\$ 4,393,584
Other long-term debt payable at varying dates through December 2045 at fixed interest rates ranging from 2.00% to 4.85%	472,371	502,706
Total long-term debt	4,810,375	4,896,290
Less current portion of bonds payable	72,215	19,555
Less current portion of other long-term debt	35,853	33,506
Less net unamortized debt issuance costs	27,345	29,141
Add net unamortized bond premium	59,058	40,286
Long-term debt, net of current portion	\$ 4,734,020	\$ 4,854,374

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

8. Debt (continued)

Annual aggregate principal payments applicable to long-term debt for years subsequent to December 31, 2025 are as follows:

	Bonds Payable	Other Long-Term Debt	Total
Year ended December 31:			
2026 ^(a)	\$ 72,215	\$ 35,853	\$ 108,068
2027	127,974	40,550	168,524
2028 ^(b)	20,515	41,791	62,306
2029	22,125	44,255	66,380
2030	17,225	53,318	70,543
Thereafter	4,077,950	256,604	4,334,554
	<u>\$ 4,338,004</u>	<u>\$ 472,371</u>	<u>\$ 4,810,375</u>

(a) Includes \$53,725 of Series 2019B-3 bonds subject to mandatory tender for purchase on May 1, 2026 which are recorded within the current portion of long-term debt in the accompanying consolidated statement of financial position as of December 31, 2025.

(b) \$53,730 of Series 2019B-1 bonds subject to mandatory tender for purchase on November 1, 2028 are excluded from the 2028 principal payments noted above. Northwell has an option to refinance these bonds at that date.

Most of Northwell's debt arrangements include security agreements of various types. The agreements include, among other provisions, the pledging as collateral certain assets and revenues, and limitations on the use of assets, including restrictions on the transfer of assets to entities outside Northwell. In addition, certain debt agreements contain covenants related to the maintenance of financial ratios, including debt service coverage ratios and days cash on hand, and the maintenance of certain debt service and other reserve funds included in assets limited as to use. At December 31, 2025 and 2024, Northwell was in compliance with the financial covenants.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

8. Debt (continued)

Bonds Payable

Bonds payable by Northwell consist of the following at December 31, 2025:

	Interest Structure	Final Maturity	Outstanding Principal
Obligated Group			
Series 2025A	Fixed	2043	\$ 351,040
Series 2024A	Fixed	2054	762,830
Series 2022A	Fixed	2052	820,000
Series 2019A (taxable)	Fixed	2049	447,675
Series 2019A	Fixed	2033	7,085
Series 2019B	Fixed	2048 ^(a)	107,455
Series 2017A (taxable)	Fixed	2047	956,919
Series 2016A (taxable)	Fixed	2046	500,000
Series 2013A (taxable)	Fixed	2043	250,000
Series 2012B (taxable)	Fixed	2042	135,000
			<u>\$ 4,338,004</u>

^(a) \$53,725 and \$53,730 subject to mandatory tender for purchase on May 1, 2026 and November 1, 2028, respectively.

The Series 2019A, 2017A, 2016A, 2013A and 2012B taxable bonds were issued by HCI as a joint and several obligations of the Obligated Group. All other bonds are tax-exempt and were issued through the Dormitory Authority of the State of New York (DASNY) on behalf of the Obligated Group.

In October 2024, the Obligated Group issued \$762,830 of tax-exempt revenue bonds through the DASNY Series 2024A bonds. The Series 2024A bonds were sold at a premium of \$54,008 and bear interest at a fixed rate, payable semi-annually, with a final maturity date of May 1, 2054. A portion of the proceeds from the Series 2024A bonds, along with existing trustee-held debt service funds, were used to refund in full \$65,000 in Series 2009B, Series 2009C and Series 2009D bonds of the Obligated Group. The remaining proceeds were and will be used to finance capital projects for certain members of the Obligated Group.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

8. Debt (continued)

In October 2024, in conjunction with the Series 2024A bond transaction, the Obligated Group entered into a forward delivery agreement to refund the majority of the outstanding Obligated Group Series 2015A bonds by issuing \$351,040 of Series 2025A tax-exempt revenue bonds through DASNY. This Series 2025A bond transaction closed in February 2025. The Series 2025A bonds were sold at a premium of \$41,088 and bear interest at a fixed rate, payable semi-annually, with a final maturity date of May 1, 2043. A gain on refunding of long-term debt of \$13,329 resulted from the refunding transaction. The remaining outstanding portion of the Series 2015A bonds were repaid with scheduled principal payments in 2025.

Other Long-Term Debt

Other long-term debt consists of the following at December 31, 2025:

	Interest Structure	Final Maturity	Outstanding Principal
Obligated Group			
2014 Private Placement Notes Payable	Fixed	2030	\$ 145,495
Other			
LIJMC Center for Advanced Medicine Mortgages	Fixed	2045	283,173
Real Estate Financing	Fixed	2045	21,696
Peconic Term Loan	Fixed	2032	17,003
Other Loans	Fixed	2030	5,004
			<u>\$ 472,371</u>

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

8. Debt (continued)

Short-Term Borrowings

Certain members of Northwell have entered into several committed unsecured revolving credit facilities with commercial banks with commitment availability through dates currently ranging from May 1, 2026 to March 24, 2028. Borrowings under these credit facilities are short-term and are primarily used to provide interim financing for capital projects, with repayment to be provided from bond proceeds and/or the receipt of fundraising proceeds from capital campaigns. Additionally, amounts can be used to provide backup financing for the support of the certificate of need process as required by the NYSDOH and for any short-term working capital needs. Total credit available under such arrangements was \$798,158 and \$794,158 at December 31, 2025 and 2024, respectively. Borrowings under these credit facilities were \$350,000 and \$246,000 at December 31, 2025 and 2024, respectively. In March 2026, Northwell executed a new \$150,000 revolving credit facility, thereby increasing total credit available to \$948,158. Additionally in March 2026, Northwell increased the total borrowings under these credit facilities to \$425,000.

9. Fair Values of Financial Instruments

For assets and liabilities required to be measured at fair value, Northwell measures fair value based on the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value measurements are applied based on the unit of account from Northwell's perspective. The unit of account determines what is being measured by reference to the level at which the asset or liability is aggregated (or disaggregated) for purposes of applying other accounting pronouncements.

Northwell follows a valuation hierarchy that prioritizes observable and unobservable inputs used to measure fair value into three broad levels, which are described below:

- Level 1:* Quoted prices (unadjusted) in active markets that are accessible at the measurement date for identical assets or liabilities.
- Level 2:* Observable inputs that are based on inputs not quoted in active markets, but corroborated by market data.
- Level 3:* Unobservable inputs are used when little or no market data is available.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

9. Fair Values of Financial Instruments (continued)

A financial instrument's categorization within the valuation hierarchy is based upon the lowest level of input that is significant to the fair value measurement. In determining fair value, Northwell uses valuation techniques that maximize the use of observable inputs and minimize the use of unobservable inputs to the extent possible and considers nonperformance risk in its assessment of fair value.

A financial instrument's categorization within the three levels of the valuation hierarchy is not indicative of the investment risk associated with the underlying assets.

Financial assets carried at fair value as of December 31, 2025 are classified in the following table in one of the three categories described previously:

	2025			
	Level 1	Level 2	Level 3	Total
Assets				
Cash and cash equivalents (including amounts in the investment portfolio)	\$ 1,063,744	\$ —	\$ —	\$ 1,063,744
Fixed income obligations:				
U.S. Government obligations	120,597	230,751	—	351,348
Corporate and other bonds	—	768,037	—	768,037
Fixed income mutual funds	419,920	—	—	419,920
Commingled fixed income funds*	—	222,751	—	222,751
Equity securities:				
Domestic equities	1,545,853	—	—	1,545,853
Global equities	379,345	—	—	379,345
Equity mutual funds	1,020,658	—	—	1,020,658
Commingled equity funds*	—	394,430	—	394,430
Target-age mutual funds	270,426	—	—	270,426
Accrued interest	32,319	—	—	32,319
	\$ 4,852,862	\$ 1,615,969	\$ —	\$ 6,468,831

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

9. Fair Values of Financial Instruments (continued)

Financial assets carried at fair value as of December 31, 2024 are classified in the following table in one of the three categories described previously:

	2024			
	Level 1	Level 2	Level 3	Total
Assets				
Cash and cash equivalents (including amounts in the investment portfolio)	\$ 1,244,901	\$ —	\$ —	\$ 1,244,901
Fixed income obligations:				
U.S. Government obligations	299,038	253,101	—	552,139
Corporate and other bonds	—	597,852	—	597,852
Fixed income mutual funds	402,778	—	—	402,778
Commingled fixed income funds*	—	245,905	—	245,905
Equity securities:				
Domestic equities	1,547,618	—	—	1,547,618
Global equities	429,719	—	—	429,719
Equity mutual funds	898,089	—	—	898,089
Commingled equity funds*	—	416,779	—	416,779
Target-age mutual funds	204,034	—	—	204,034
Accrued interest and other	43,509	—	—	43,509
	<u>\$ 5,069,686</u>	<u>\$ 1,513,637</u>	<u>\$ —</u>	<u>\$ 6,583,323</u>

* Certain of Northwell's commingled fixed income and commingled equity fund investments are valued based on inputs not quoted in active markets, but corroborated by market data, while other commingled fixed income and commingled equity fund investments are recorded on the equity method of accounting and excluded from the fair value tables above.

Fair value for Level 1 is based upon quoted market prices. Fair value for Level 2 is based on quoted prices for similar instruments in active markets, quoted prices for identical or similar instruments in markets that are not active and model-based valuation techniques for which all significant assumptions are observable in the market or can be corroborated by observable market data for substantially the full term of the investment.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

9. Fair Values of Financial Instruments (continued)

The amounts reported in the previous tables exclude certain amounts reported as investments, including investments under the equity method or at Adjusted Cost in the amounts of \$3,326,910 and \$2,775,804 at December 31, 2025 and 2024, respectively (see Notes 2 and 4), and assets invested in Northwell's pension plans (see Note 10).

10. Retirement Plans and Other Postretirement Benefits

Retirement Plans

Northwell maintains and participates in several retirement plans for its employees. The following are descriptions of such plans and the respective expense for the years ended December 31, 2025 and 2024.

Certain members of Northwell provide retirement benefits to its employees through defined contribution plans. Contributions to the defined contribution plans are based on percentages of annual salaries. It is the policy of these members to fund accrued costs under these plans on a current basis. Expenses for 2025 and 2024 related to the defined contribution plans amounted to \$380,215 and \$364,013, respectively.

Certain members of Northwell contribute to various multiemployer defined benefit pension plans under the terms of collective-bargaining agreements that cover union-represented employees. The risks of participating in these multiemployer plans are different from single-employer plans in the following aspects:

- a. Assets contributed to the multiemployer plan by one employer may be used to provide benefits to employees of other participating employers.
- b. If a participating employer stops contributing to the plan, the unfunded obligations of the plan may be borne by the remaining participating employers.
- c. If Northwell stops participating in any of its multiemployer plans, it may be required to pay those plans an amount based on the underfunded status of the plan, referred to as a withdrawal liability.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

10. Retirement Plans and Other Postretirement Benefits (continued)

Northwell’s significant participation in certain multiemployer plans for the annual period ended December 31, 2025 is outlined in the following table. The following information for the 1199SEIU Health Care Employees Pension Fund (the 1199 Plan) and the New York State Nurses Association Pension Plan (the NYSNA Plan) is included within the table:

- The “EIN/Pension Plan Number” column provides the plans’ Employee Identification Number (EIN) and the three-digit plan number.
- The most recent “Pension Protection Act Zone Status” available in 2025 and 2024 is for a plan’s year-end at December 31, 2024 and 2023, respectively, and is based on information that Northwell received from the plans and is certified by the plans’ actuaries. Among other factors, plans in the red zone are generally less than 65% funded, plans in the yellow zone are less than 80% funded and plans in the green zone are at least 80% funded.
- The “FIP/RP Status Pending/Implemented” column indicates plans for which a financial improvement plan (FIP) or a rehabilitation plan (RP) is either pending or has been implemented.
- The last column lists the expiration dates of the collective bargaining agreements to which the plans are subject.

Pension Fund	EIN/Pension Plan Number	Pension Protection Act Zone Status		FIP/RP Status Pending/Implemented	Contributions by Northwell		Surcharge Imposed	Expiration Date of Collective-Bargaining Agreements
		2025	2024		2025	2024		
1199 Plan ^(a)	13-3604862/001	Green as of 1/1/25	Green as of 1/1/24	N/A	\$ 140,893	\$ 121,672	No	9/30/2026 to 1/14/2028
NYSNA Plan ^(a)	13-6604799/001	Green as of 1/1/25	Green as of 1/1/24	N/A	\$ 20,907	\$ 19,241	No	12/31/2026 to 3/31/2029

^(a) Northwell was listed in the 1199 and NYSNA Plans’ Forms 5500 as providing more than 5% of the total contributions during each of the plans’ 2024 and 2023 plan years. Forms 5500 are not yet available for the plan year ended in 2025.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

10. Retirement Plans and Other Postretirement Benefits (continued)

In addition to the plans noted in the table above, Northwell also participates in several other multiemployer plans. Contributions for these other plans totaled \$1,087 and \$1,029 for the years ended December 31, 2025 and 2024, respectively.

Northwell maintains various deferred compensation plans pursuant to Section 457(b) of the Code (the 457(b) Plans). Eligible employees may defer compensation under a salary reduction agreement, subject to certain dollar limitations. Non-elective employer contributions may also be made for some of the 457(b) Plans. Payments upon retirement or termination of employment are based on amounts credited to the individual accounts. The assets and corresponding liability for the 457(b) Plans and other deferred compensation plans, included in long-term investments and accrued retirement benefits in the accompanying consolidated statements of financial position, totaled \$678,967 and \$549,346 at December 31, 2025 and 2024, respectively.

Defined Benefit Pension Plans

Certain employees are covered by noncontributory defined benefit pension plans (the Plans), with the Northwell Health Pension Plan (the Northwell Plan) being the primary plan. Northwell recognizes the funded status (i.e., the difference between the fair value of plan assets and the projected benefit obligations) of the Plans in its consolidated statements of financial position.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

10. Retirement Plans and Other Postretirement Benefits (continued)

The following tables provide a reconciliation of the changes in the Plans' aggregated projected benefit obligation and the fair value of plan assets for the years ended December 31, 2025 and 2024 and the funded status and accumulated benefit obligation of the Plans as of December 31, 2025 and 2024:

	2025	2024
Reconciliation of the projected benefit obligation		
Obligation at January 1	\$ 2,866,953	\$ 2,831,384
Service cost	118,577	86,051
Interest cost	166,716	148,434
Plan amendments	3,939	5,582
Actuarial loss (gain)	54,614	(26,394)
Benefit payments	(149,917)	(178,104)
Obligation at December 31	<u>\$ 3,060,882</u>	<u>\$ 2,866,953</u>
Reconciliation of fair value of plan assets		
Fair value of plan assets at January 1	\$ 2,723,221	\$ 2,703,994
Actual return on plan assets	221,943	192,503
Employer contributions	50,970	4,828
Benefit payments	(149,917)	(178,104)
Fair value of plan assets at December 31	<u>\$ 2,846,217</u>	<u>\$ 2,723,221</u>
Funded status		
Funded status at December 31	<u>\$ (214,665)</u>	<u>\$ (143,732)</u>
Accumulated benefit obligation at December 31	<u>\$ 2,932,419</u>	<u>\$ 2,740,746</u>

The current portion of accrued retirement benefits related to the Plans, included in accrued salaries and related benefits in the accompanying consolidated statements of financial position, is \$8,304 and \$7,677 at December 31, 2025 and 2024, respectively.

The actuarial loss in 2025 and gain in 2024 are primarily due to changes in the discount rate and interest crediting rate used in the measurement of the Plans' benefit obligation.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

10. Retirement Plans and Other Postretirement Benefits (continued)

Included in net assets without donor restrictions at December 31, 2025 and 2024 are the following amounts related to the Plans that have not yet been recognized in net periodic benefit cost:

	<u>2025</u>	<u>2024</u>
Unrecognized actuarial loss	\$ (279,224)	\$ (270,779)
Unrecognized prior service cost	(27,140)	(26,466)
	<u>\$ (306,364)</u>	<u>\$ (297,245)</u>

The following table provides the components of the net periodic benefit cost for the Plans for the years ended December 31, 2025 and 2024:

	<u>2025</u>	<u>2024</u>
Service cost (included in employee benefits)	\$ 118,577	\$ 86,051
Interest cost on projected benefit obligation	166,716	148,434
Expected return on plan assets	(178,004)	(175,428)
Amortization of actuarial loss	2,230	10,572
Amortization of prior service cost	3,265	11,053
Total included in non-operating net periodic benefit credit	<u>(5,793)</u>	<u>(5,369)</u>
Net periodic benefit cost	<u>\$ 112,784</u>	<u>\$ 80,682</u>

Prior service costs are amortized over the average remaining service period of active participants. Actuarial gains and losses in excess of 10% of the greater of the projected benefit obligations and the market-related value of assets are amortized over the average remaining service period of active participants.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

10. Retirement Plans and Other Postretirement Benefits (continued)

The assumptions used in the measurement of the Northwell Plan's benefit obligations at December 31, 2025 and 2024 are shown in the following table:

	2025	2024
Discount rate	5.64%	5.73%
Rate of compensation increase	4.00	4.00
Interest crediting rate	4.90	4.78

The assumptions used in the measurement of the Northwell Plan's net periodic benefit cost for the years ended December 31, 2025 and 2024 are shown in the following table:

	2025	2024
Discount rate ^(a)	5.73% / 5.62%	5.22%
Expected long-term rate of return on plan assets	6.75	6.75
Rate of compensation increase	4.00	4.00
Interest crediting rate ^(a)	4.78% / 4.90%	4.03

^(a) The two rates disclosed for 2025 represent those used for January 1 – June 30, 2025 and July 1 – December 31, 2025 as a result of a remeasurement for the Northwell Plan.

As of December 31, 2025 and 2024, the Northwell Plan comprises 95.0% and 95.5% of the Plans' total projected benefit obligation, respectively, and 100.0% of the total fair value of plan assets.

Benefit payments for the Plans, which reflect expected future service, as appropriate, are expected to be paid as follows:

2026	\$ 178,609
2027	188,769
2028	199,339
2029	209,901
2030	215,955
2031 to 2035	1,180,569

Northwell expects to make contributions of approximately \$80,000 to the Plans in 2026.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

10. Retirement Plans and Other Postretirement Benefits (continued)

Defined Benefit Pension Plan Assets

The fair values of the Northwell Plan's assets at December 31, 2025, by asset category, are as follows:

Asset category	Level 1	Level 2	Level 3	Total
Cash and short-term investments	\$ 66,207	\$ –	\$ –	\$ 66,207
Fixed income obligations:				
U.S. Government obligations	346,401	52,682	–	399,083
Corporate and other bonds	–	171,623	–	171,623
Commingled fixed income funds	–	77,540	–	77,540
Equity securities:				
Domestic equities	224,990	–	–	224,990
Global equities	48,973	–	–	48,973
Equity mutual funds	131,456	–	–	131,456
Commingled equity funds	–	177,540	–	177,540
Accrued interest	6,307	–	–	6,307
	<u>\$ 824,334</u>	<u>\$ 479,385</u>	<u>\$ –</u>	<u>1,303,719</u>
Assets measured at net asset value:				
Commingled fixed income funds				332,238
Commingled equity funds				18,801
Funds of hedge funds				452,934
Private equity investments				557,862
Private credit funds				60,224
Private real estate funds				120,439
Total assets at fair value				<u>\$2,846,217</u>

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

10. Retirement Plans and Other Postretirement Benefits (continued)

The fair values of the Northwell Plan's assets at December 31, 2024, by asset category, are as follows:

Asset category	Level 1	Level 2	Level 3	Total
Cash and short-term investments	\$ 71,007	\$ —	\$ —	\$ 71,007
Fixed income obligations:				
U.S. Government obligations	345,733	61,492	—	407,225
Corporate and other bonds	—	150,614	—	150,614
Fixed income mutual funds	1,090	—	—	1,090
Commingled fixed income funds	—	64,271	—	64,271
Equity securities:				
Domestic equities	259,483	—	—	259,483
Global equities	68,026	—	—	68,026
Equity mutual funds	115,316	—	—	115,316
Commingled equity funds	—	157,171	—	157,171
Accrued interest	6,760	—	—	6,760
	<u>\$ 867,415</u>	<u>\$ 433,548</u>	<u>\$ —</u>	<u>1,300,963</u>
Assets measured at net asset value:				
Commingled fixed income funds				277,404
Commingled equity funds				42,595
Funds of hedge funds				433,024
Private equity investments				467,657
Private credit funds				88,207
Private real estate funds				113,371
Total assets at fair value				<u>\$2,723,221</u>

Assets invested in the Northwell Plan are carried at fair value. Debt and equity securities and certain commingled funds with readily determinable values are carried at fair value, as determined based on independent published sources. Other commingled funds and alternative investments are stated at fair value, determined by using net asset value as a practical expedient, as permitted by GAAP, rather than using another valuation method to independently estimate fair value (see Note 2).

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

10. Retirement Plans and Other Postretirement Benefits (continued)

The following is a summary of assets in the Northwell Plan at December 31, 2025 (by asset category) with redemption restrictions:

	<u>Asset Value</u>	<u>Redemption Period (Including Notice Period)</u>
Commingled fixed income funds	\$ 409,778	1 day to 60 days
Commingled equity funds	196,341	1 day to 45 days
		61 days to 29
Funds of hedge funds	452,934	months

Private equity investments, private credit funds and private real estate funds have long lifecycles with distributions not expected for several years. In the instance of certain redemptions, some investments noted above may require an extended waiting period to receive the remaining portion of the redemption.

Basis Used to Determine the Expected Long-Term Rate of Return on Assets

The overall expected long-term rate of return on assets assumption is based upon a long-term building-block approach adjusted for current market conditions. First, ten-year return expectations for each asset class are developed with economic and fundamental drivers such as dividends, earnings growth, and valuation for stocks and yields, defaults and recoveries for bonds. Northwell assumes over this period that long-term valuations will revert to the mean or a state of equilibrium. The “next ten year” return forecasts use a risk premia approach. Using the risk free rate in ten years (based on the market’s forward rates), Northwell then adds a risk premium for each assets class. Historical risk premia are used as a guide and the results will be consistent with finance theory (i.e., riskier assets will have a higher risk premia assumption).

The data is adjusted to reflect any fundamental changes that have occurred in the relative markets or to account for asset classes that may have a relatively short history.

While the precise expected return derived using the above approach will fluctuate somewhat from year to year, the Northwell Plan’s policy is to hold this long-term assumption constant as long as it remains within a reasonable tolerance from the derived rate.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

10. Retirement Plans and Other Postretirement Benefits (continued)

Description of Investment Policies and Strategies

The Northwell Plan's overall investment strategy is to achieve wide diversification of asset types, fund strategies and fund managers. Equity securities include investments in domestic, international, global and emerging markets equities. Fixed income securities include corporate bonds of companies from diversified industries, mortgage-backed securities, emerging markets debt, municipal bonds and U.S. Treasuries. Other types of investments include commingled funds and alternative investments that follow several different strategies.

There are specific guidelines and diversification standards for each investment manager. Eligible investments are specifically outlined. Each manager must disclose its strategies and report that it abides by the Employee Retirement Income Security Act of 1974 rules, where applicable.

The Northwell Plan's asset allocation at December 31, 2025 and 2024, by asset category, is as follows:

	2025	2024	Target Allocation
Cash and short-term investments	2.5%	2.9%	0.9%
Fixed income obligations, including commingled fixed income funds	34.5	33.1	33.5
Equity securities, including commingled equity funds	21.1	23.6	23.2
Alternative investments	41.9	40.4	42.4
	100.0%	100.0%	100.0%

The target allocation percentages are set as long-term diversification objectives to be met over time, as the portfolio increases the allocation to alternative investments.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

10. Retirement Plans and Other Postretirement Benefits (continued)

Other Postretirement Benefits

Certain employees are covered by the Northwell Health Retiree Medical and Life Insurance Plan and other postretirement benefit plans other than pensions. As of December 31, 2025 and 2024, the total funded status of these plans was a liability of \$81,481 and \$50,481, respectively. The current portion of accrued retirement benefits related to these plans, included in accrued salaries and related benefits in the accompanying consolidated statements of financial position, is \$3,348 and \$3,410 at December 31, 2025 and 2024, respectively.

For the years ended December 31, 2025 and 2024, there was a net periodic benefit cost related to these plans of \$6,108 and \$5,789, respectively, of which a cost of \$4,322 and \$3,926, respectively, was recorded within non-operating net periodic benefit credit in the accompanying consolidated statements of operations.

11. Malpractice and Other Insurance Liabilities

Malpractice

Northwell provides for potential medical malpractice losses through a combination of a self-insurance program and purchased primary and excess insurance, on both a claims-made and occurrence basis. Effective October 2025, Nuvance was incorporated into the self-insurance and purchased primary and excess insurance programs. The details of these programs are as follows, with the liability amounts disclosed excluding Nuvance liabilities:

Primary Insurance Program

From January 2003 through December 2016, Northwell purchased primary malpractice insurance on an occurrence basis, covering most hospitals and providers. The policies provided coverage with limits of \$1,000 per claim and a \$50,000 annual policy aggregate through 2009. Effective January 2010, the program retained \$750 of the primary coverage per indemnity claim, while aggregate limits increased to \$60,000. Effective January 2013, the retention level increased to \$900 per claim. Effective January 2017, Northwell decided to fully self-insure the primary layer covering hospitals and providers up to \$1,000 per claim.

In December 2002, Northwell purchased a tail insurance policy to cover unreported occurrences from its prior claims-made primary insurance program.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

11. Malpractice and Other Insurance Liabilities (continued)

The estimated undiscounted liability for the retained primary coverage and losses in excess of the insured primary aggregate at December 31, 2025 and 2024 was \$1,239,560 and \$1,210,962, respectively. At December 31, 2025 and 2024, the liability was recorded at its undiscounted value.

Excess Insurance Coverage

Regional Insurance covers certain excess malpractice losses above the primary per claim limit, on a claims-made basis. Additional commercial excess malpractice insurance is purchased on a claims-made basis for excess coverage layers above the Regional Insurance per claim limit.

Regional Insurance's estimated undiscounted reserves for losses and loss expenses outstanding at December 31, 2025 and 2024 were \$36,782 and \$31,897, respectively. At December 31, 2025 and 2024, the liability was recorded at its undiscounted value.

Effective January 1, 2015, the annual aggregate excess coverage provided by Regional Insurance was significantly reduced to \$6,500, and was subsequently increased to \$7,750 effective January 1, 2018, \$8,375 effective January 1, 2019 and \$9,000 effective January 1, 2020 and thereafter. The undiscounted liability for the estimated losses in excess of Regional Insurance's aggregate excess coverage at December 31, 2025 and 2024 totaled \$885,226 and \$812,161, respectively. At December 31, 2025 and 2024, the liability was recorded at its undiscounted value.

The estimated undiscounted incurred but not reported liability for claims in excess of primary insurance layers at December 31, 2025 and 2024 was \$186,546 and \$165,897, respectively. At December 31, 2025 and 2024, the liability was recorded at its undiscounted value.

Other Self-Insurance Coverage

For certain years, certain Northwell hospitals and physicians were covered for malpractice claims under various other insured and self-insured arrangements. For self-insured claims and incidents, Northwell has reserved \$17,511 and \$19,242 at December 31, 2025 and 2024, respectively. At December 31, 2025 and 2024, the liability was recorded at its undiscounted value.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

11. Malpractice and Other Insurance Liabilities (continued)

Malpractice claims have been asserted against Northwell by various claimants. These claims are in various stages of processing, and some may ultimately be brought to trial. There are known incidents that have occurred through December 31, 2025 that may result in the assertion of additional claims, and other claims may be asserted arising from services provided to patients in the past. It is the opinion of Northwell's management that adequate insurance, including self-insurance, and malpractice reserves are being maintained to cover potential malpractice losses.

Workers' Compensation

In June 2013, Northwell changed its workers' compensation insurance program from a guaranteed cost program to a high deductible program with a \$1,000 per claim retention level. At December 31, 2025 and 2024, the estimated undiscounted liability for retained losses under this program was \$399,719 and \$364,305, respectively. At December 31, 2025 and 2024, the liability was recorded at its undiscounted value.

Prior to joining Northwell's high deductible program, certain hospitals had various self-insured programs for workers' compensation claims. At December 31, 2025 and 2024, Northwell has recorded a liability of \$7,018 and \$7,883, respectively, for these self-insured losses. At December 31, 2025 and 2024, the liability was recorded at its undiscounted value.

Other Insurance

Some of Northwell's other insurance programs, including general and vehicle liability, have a component of self-insurance or high deductibles. Liabilities for these other insurance programs were not significant at December 31, 2025 and 2024.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

12. Other Operating Revenue

Other operating revenue consists of the following for the years ended December 31, 2025 and 2024:

	<u>2025</u>	<u>2024</u>
Pharmacy sales	\$ 998,137	\$ 764,397
Laboratory services	493,023	447,419
Grants and contracts	169,684	148,997
FEMA and employee retention credit (see Note 1)	116,813	198,248
Health plan risk pool distributions	65,928	164,619
Investment income (see Note 4)	60,986	51,940
Group purchasing revenue	38,920	36,557
Clinical joint venture income	33,784	19,282
Rental income	28,627	30,911
Cafeteria and gift shop sales	24,185	23,167
Health plan care coordination revenue	13,939	15,121
Parking income	8,480	7,952
All other	135,396	123,971
	<u>\$ 2,187,902</u>	<u>\$ 2,032,581</u>

13. Net Assets

Donor restricted net assets at December 31, 2025 and 2024 are available for the following purposes:

	<u>2025</u>	<u>2024</u>
Teaching, research, training and other	\$ 600,740	\$ 536,846
Capital projects and purchases of equipment	188,533	213,523
Permanent endowments	369,330	345,770
	<u>\$ 1,158,603</u>	<u>\$ 1,096,139</u>

Northwell's endowments consist of donor restricted funds, the income from which is available for a variety of purposes.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

13. Net Assets (continued)

Northwell follows the requirements of the New York Prudent Management of Institutional Funds Act (NYPMIFA) as they relate to its permanent endowments. Northwell has interpreted NYPMIFA as requiring the preservation of the fair value of the original gift, as of the gift date, of the donor-restricted endowment funds absent explicit donor stipulations to the contrary. As a result of this interpretation, Northwell classifies as net assets with donor restrictions to be maintained in perpetuity: (1) the original value of gifts donated to the permanent endowment, (2) the original value of subsequent gifts to the permanent endowment, and (3) accumulations to the permanent endowment made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. The remaining income from the permanent endowments is classified as net assets with donor restrictions to be used for described purposes or over specified periods of time until those amounts are appropriated for expenditure. Northwell considers the following factors in making a determination to appropriate or accumulate donor restricted endowment funds: (1) the duration and preservation of the fund, (2) the purpose of the donor restricted endowment fund, (3) general economic conditions, (4) the possible effect of inflation and deflation, (5) the expected total return from income and the appreciation of investments, and (6) the investment policies of Northwell.

Northwell's investment and spending policies for endowment assets seek to provide a predictable stream of funding to programs supported by its endowments, while seeking to maintain the purchasing power of the endowment assets. Endowment assets include those assets of donor-restricted funds that Northwell must hold in perpetuity or for a donor-specified term. Under this policy, the endowment assets are invested in a manner that expects to generate an average annual return over time in excess of 5.0%. Actual returns in any given year may vary from this amount.

To satisfy its long-term rate-of-return objectives, Northwell relies on a total return strategy in which investment returns are achieved primarily through capital appreciation (realized and unrealized). Northwell targets a diversified asset allocation that consists of equities, fixed income and alternative investments.

Northwell has a policy of appropriating for distribution each year, amounts determined using historical returns on its endowment funds. In establishing this policy, Northwell considered the long-term expected return on its endowments.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

13. Net Assets (continued)

For the years ended December 31, 2025 and 2024, Northwell had the following activity related to its endowment assets, including amounts to be held in perpetuity and earnings which may be expended:

	<u>2025</u>	<u>2024</u>
Endowment balance, beginning of year	\$ 469,039	\$ 421,530
Investment return:		
Investment income	29,499	24,819
Net appreciation	15,516	17,925
Total investment return	45,015	42,744
Contributions and other*	23,560	20,397
Amounts appropriated for expenditure	(16,635)	(15,632)
Net change in endowment funds	51,940	47,509
Endowment balance, end of year	<u>\$ 520,979</u>	<u>\$ 469,039</u>

* Contributions include pledges receivable for permanently restricted purposes.

From time to time, the fair value of assets associated with Northwell's donor-restricted endowment funds may fall below the level Northwell is required to retain as a fund of perpetual duration. There was no such deficiency as of December 31, 2025 and 2024.

14. Commitments and Contingencies

Litigation and Claims

Northwell is involved in litigation and claims which are not considered unusual to its business. While the ultimate outcome of these lawsuits cannot be determined at this time, it is the opinion of management that the ultimate resolution of these claims will not have a material adverse effect on the accompanying consolidated financial statements.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued) (In Thousands)

14. Commitments and Contingencies (continued)

Collective Bargaining Agreements

At December 31, 2025, approximately 28% of Northwell's employees are union employees who are covered under the terms of various collective bargaining agreements. Certain collective bargaining agreements, which represent approximately 7% of union employees (2% of total employees), have expired or will expire during 2026 and are currently being renegotiated.

Letters of Credit and Surety Bonds

At December 31, 2025, five commercial banks are providing a total of \$309,842 in commitments, solely to support letters of credit required for Northwell's high deductible workers' compensation and vehicle insurance programs. At December 31, 2025, \$182,473 in secured standby letters of credit were maintained with the banks, and \$127,369 of the commitments remain available for future letters of credit. At December 31, 2025, there was also an \$89,000 surety bond supporting these programs.

In addition, at December 31, 2025, \$8,847 in standby letters of credit or surety bonds were maintained to support other workers' compensation insurance programs at certain Northwell hospitals.

Other Commitments and Contingencies

In 2008, Hofstra University (the University) and Northwell entered into a joint academic agreement to establish what is now known as the Donald and Barbara Zucker School of Medicine at Hofstra/Northwell (the Medical School), at the University, while remaining as separate corporations with separate governance. Under the agreement, Northwell will reimburse the University each academic year for a portion of the Medical School's annual costs, with amounts indexed to the Medical School tuition. Such reimbursement is contingent upon annual approval by the boards of Northwell and the University. Northwell shall not advance funds to the University that have not yet been spent in connection with the Medical School. Northwell also provides funding annually for Medical School scholarships and student loans, with amounts indexed to the Medical School tuition.

Northwell Health, Inc.

Notes to Consolidated Financial Statements (continued)
(In Thousands)

14. Commitments and Contingencies (continued)

In the normal course of business, Northwell enters into multi-year contracts with vendors, suppliers and service providers for goods or services to be provided to Northwell. Under the terms of such agreements, Northwell may be contingently liable for termination or other fees in the event of contract termination or default. Northwell does not believe that such contingent liabilities, should they become due, would have a material impact on its consolidated financial statements.

15. Subsequent Events

Management has evaluated the impact of subsequent events through April 28, 2026, representing the date at which the accompanying consolidated financial statements were issued.

Except for those disclosed in Notes 1, 7 and 8, no events have occurred that require disclosure in or adjustment to the accompanying consolidated financial statements.

Supplementary Information

Northwell Health, Inc.

Consolidating Statement of Financial Position
(In Thousands)

December 31, 2025

	Northwell Health, Inc. Total	Eliminations	Northwell Health Obligated Group	South Oaks Hospital	Hospice Care Network	The Feinstein Institutes for Medical Research	Northwell Foundation	Northwell Health Laboratories	Captive Insurance Companies	Northwell Family Health Center at Huntington	Joint Venture Ambulatory Surgery Centers	Other Northwell Health Entities
Assets												
Current assets:												
Cash and cash equivalents	\$ 863,915	\$ –	\$ 796,048	\$ 4,284	\$ –	\$ –	\$ 25,826	\$ 48	\$ 1,463	\$ –	\$ 13,554	\$ 22,692
Short-term investments	4,591,866	–	4,408,337	155	88,739	3,031	80,594	–	10,046	964	–	–
Accounts receivable for services to patients, net	2,033,385	–	1,990,904	13,183	10,263	–	–	–	–	490	9,279	9,266
Accounts receivable for physician activities, net	542,454	–	370,405	–	–	–	–	–	–	369	–	171,680
Current portion of pledges receivable	72,333	–	–	–	–	–	72,333	–	–	–	–	–
Current portion of insurance claims receivable	19,752	–	19,363	113	22	57	6	191	–	–	–	–
Other current assets	783,516	–	571,795	2,627	258	15,889	156	64,789	540	93	3,484	123,885
Total current assets	8,907,221	–	8,156,852	20,362	99,282	18,977	178,915	65,028	12,049	1,916	26,317	327,523
Due from affiliates, net	–	(539,719)	350,736	–	3,690	–	97,138	88,155	–	–	–	–
Long-term investments	4,339,960	(576,799)	4,278,402	–	2,873	140,488	166,023	–	208,601	12,490	–	107,882
Pledges receivable, net of current portion	141,778	–	1,588	–	412	–	125,922	–	–	–	–	13,856
Property, plant and equipment, net	9,183,299	–	8,641,734	45,942	709	64,644	770	65,691	–	7,692	13,212	342,905
Right-of-use assets – operating leases	1,159,684	(15,252)	807,351	–	4,831	348	1,192	22,662	–	6,074	34,261	298,217
Insurance claims receivable, net of current portion	210,501	(59,509)	266,879	507	29	76	17	251	2,251	–	–	–
Other assets	645,445	(197,237)	512,557	4,740	193	–	1,355	13,969	73	148	105,989	203,658
Total assets	\$ 24,587,888	\$ (1,388,516)	\$ 23,016,099	\$ 71,551	\$ 112,019	\$ 224,533	\$ 571,332	\$ 255,756	\$ 222,974	\$ 28,320	\$ 179,779	\$ 1,294,041
Liabilities and net assets (deficit)												
Current liabilities:												
Short-term borrowings	\$ 350,000	\$ –	\$ 350,000	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –
Accounts payable and accrued expenses	1,433,910	–	1,198,091	2,186	2,785	22,612	1,264	66,398	982	318	6,112	133,162
Accrued salaries and related benefits	2,023,147	–	1,824,108	9,909	3,055	11,289	3,525	15,791	–	542	1,214	153,714
Current portion of operating lease obligations	161,228	(810)	107,217	–	1,580	216	63	3,247	–	504	4,323	44,888
Current portion of finance lease obligations	4,497	–	3,603	–	–	–	–	–	–	–	894	–
Current portion of long-term debt	108,068	–	106,474	10	–	–	–	–	–	–	1,584	–
Current portion of insurance claims liability	19,752	–	19,363	113	22	57	6	191	–	–	–	–
Current portion of malpractice and other insurance liabilities	289,615	–	279,034	535	–	–	–	–	10,046	–	–	–
Current portion of estimated payables to third-party payers	391,279	–	343,887	11,483	–	–	–	34,602	–	28	–	1,279
Total current liabilities	4,781,496	(810)	4,231,777	24,236	7,442	34,174	4,858	120,229	11,028	1,392	14,127	333,043
Due to affiliates, net	–	(547,524)	–	40,055	–	19,593	–	–	19,616	11,686	20,204	436,370
Accrued retirement benefits, net of current portion	963,461	–	961,583	1,506	200	–	–	–	–	–	–	172
Operating lease obligations, net of current portion	1,077,529	(14,442)	753,623	–	3,376	132	1,258	19,415	–	5,634	31,482	277,051
Finance lease obligations, net of current portion	226,266	–	224,591	–	–	–	–	–	–	–	1,675	–
Long-term debt, net of current portion	4,734,020	–	4,730,611	33	–	–	–	–	–	–	3,376	–
Insurance claims liability, net of current portion	210,501	(59,509)	266,879	507	29	76	17	251	2,251	–	–	–
Malpractice and other insurance liabilities, net of current portion	2,525,487	19,616	2,467,149	3,446	–	–	–	–	35,276	–	–	–
Other long-term liabilities	1,224,595	–	1,199,537	–	25	28	6,865	3,160	–	–	–	14,980
Total liabilities	15,743,355	(602,669)	14,835,750	69,783	11,072	54,003	12,998	143,055	68,171	18,712	70,864	1,061,616
Commitments and contingencies												
Net assets (deficit):												
Without donor restrictions	7,685,930	(202,683)	7,300,270	1,768	97,871	10,025	–	112,701	154,803	(85)	108,915	102,345
With donor restrictions	1,158,603	(583,164)	880,079	–	3,076	160,505	558,334	–	–	9,693	–	130,080
Total net assets (deficit)	8,844,533	(785,847)	8,180,349	1,768	100,947	170,530	558,334	112,701	154,803	9,608	108,915	232,425
Total liabilities and net assets (deficit)	\$ 24,587,888	\$ (1,388,516)	\$ 23,016,099	\$ 71,551	\$ 112,019	\$ 224,533	\$ 571,332	\$ 255,756	\$ 222,974	\$ 28,320	\$ 179,779	\$ 1,294,041

Northwell Health, Inc.

Combining Statement of Financial Position – Northwell Health Obligated Group
(In Thousands)

December 31, 2025

	Total Obligated Group		Eliminations		Northwell Healthcare, Inc.		North Shore University Hospital		Long Island Jewish Medical Center		Staten Island University Hospital		Lenox Hill Hospital		South Shore University Hospital		Huntington Hospital Association		Glen Cove Hospital		Plainview Hospital		Phelps Memorial Hospital Association		Northern Westchester Hospital Association		Peconic Bay Medical Center		John T. Mather Memorial Hospital		Northwell Health Stern Family Center for Rehabilitation	
Assets																																
Current assets:																																
Cash and cash equivalents	\$	796,048	\$	–	\$	664,507	\$	6,864	\$	694	\$	21,227	\$	–	\$	1,455	\$	–	\$	232	\$	736	\$	2,705	\$	–	\$	16,675	\$	80,953	\$	–
Short-term investments		4,408,337		–		401,935		616,739		1,188,965		813,122		118,186		27,990		580,784		50,101		–		192,142		324,880		37,066		56,427		–
Accounts receivable for services to patients, net		1,990,904		–		–		418,725		542,747		209,224		266,342		134,690		81,269		36,992		33,866		63,331		75,530		50,103		69,496		8,589
Accounts receivable for physician activities, net		370,405		–		–		346,398		2,656		63		10,822		219		4		4		20		102		2,620		4,577		2,920		–
Current portion of insurance claims receivable		19,363		–		577		3,737		4,155		2,254		987		1,048		775		254		581		122		233		87		4,382		171
Other current assets		571,795		(3,000)		225,690		100,972		93,364		35,357		39,691		20,191		8,232		3,851		4,196		13,031		7,950		10,387		11,806		77
Total current assets		8,156,852		(3,000)		1,292,709		1,493,435		1,832,581		1,081,247		436,028		185,593		671,064		91,434		39,399		271,433		411,213		118,895		225,984		8,837
Due from affiliates, net		350,736		(379,526)		–		227,007		309,287		28,286		–		–		58,250		–		–		43,934		38,605		–		24,893		–
Long-term investments		4,278,402		–		1,843,587		803,563		747,279		307,374		215,221		98,376		49,470		34,808		7,376		48,143		38,886		5,919		59,044		19,356
Pledges receivable, net of current portion		1,588		–		–		–		–		–		–		–		–		–		–		1,588		–		–		–		–
Property, plant and equipment, net		8,641,734		–		1,821,176		1,092,411		1,421,615		685,554		1,563,080		840,621		151,110		98,431		119,763		255,302		249,827		167,858		167,502		7,484
Right-of-use assets – operating leases		807,351		–		236,790		191,263		103,542		16,062		127,935		48,535		19,833		2,773		6,121		1,151		19,356		30,936		3,054		–
Insurance claims receivable, net of current portion		266,879		–		760		63,195		79,208		41,725		7,031		18,397		16,199		5,369		4,655		5,265		7,860		3,757		13,232		226
Other assets		512,557		(5,116)		251,545		181,538		206		23		18,638		–		–		–		–		5,101		6,508		29,202		24,912		–
Total assets	\$	23,016,099	\$	(387,642)	\$	5,446,567	\$	4,052,412	\$	4,493,718	\$	2,160,271	\$	2,367,933	\$	1,191,522	\$	965,926	\$	232,815	\$	177,314	\$	631,917	\$	772,255	\$	356,567	\$	518,621	\$	35,903
Liabilities and net assets																																
Current liabilities:																																
Short-term borrowings	\$	350,000	\$	–	\$	–	\$	128,000	\$	222,000	\$	–	\$	–	\$	–	\$	–	\$	–	\$	–	\$	–	\$	–	\$	–	\$	–	\$	–
Accounts payable and accrued expenses		1,198,091		–		392,582		175,854		190,624		95,539		129,714		62,145		24,517		16,783		11,509		19,330		31,433		19,689		26,602		1,770
Accrued salaries and related benefits		1,824,108		–		967,982		197,513		253,254		80,887		103,201		71,023		33,259		13,957		21,370		16,609		23,357		19,561		18,576		3,559
Current portion of operating lease obligations		107,217		–		28,874		25,107		15,169		3,136		17,519		6,404		3,587		399		1,153		329		1,390		3,194		956		–
Current portion of finance lease obligations		3,603		–		2,923		–		321		–		359		–		–		–		–		–		–		–		–		–
Current portion of long-term debt		106,474		–		23,545		19,591		25,831		11,602		18,709		3,987		760		130		–		–		–		2,298		–		21
Current portion of insurance claims liability		19,363		–		577		3,737		4,155		2,254		987		1,048		775		254		581		122		233		87		4,382		171
Current portion of malpractice and other insurance liabilities		279,034		–		75,020		42,368		54,751		29,459		25,733		14,064		8,532		3,140		3,109		5,195		6,699		4,266		6,698		–
Current portion of estimated payables to third-party payers		343,887		–		–		228,819		39,920		5,104		9,943		18,279		555		3,047		–		8,325		4,580		–		22,855		2,460
Total current liabilities		4,231,777		–		1,491,503		820,989		806,025		227,981		287,456		191,672		75,212		38,340		37,852		49,910		67,692		49,095		80,069		7,981
Due to affiliates, net		–		(504,321)		64,519		–		–		–		189,496		48,383		–		21,483		50,799		–		–		115,039		–		14,602
Accrued retirement benefits, net of current portion		961,583		–		822,625		102,921		1,272		328		12,146		4,919		11,569		–		–		–		1,986		82		3,735		–
Operating lease obligations, net of current portion		753,623		–		218,008		183,262		94,574		12,109		126,358		44,238		17,066		2,425		5,527		848		18,656		28,344		2,208		–
Finance lease obligations, net of current portion		224,591		–		215,196		–		–		–		9,395		–		–		–		–		–		–		–		–		–
Long-term debt, net of current portion		4,730,611		–		2,062,893		601,826		918,792		288,005		95,012		549,138		75,767		29,246		2,188		18,941		11,220		14,646		62,736		201
Insurance claims liability, net of current portion		266,879		–		760		63,195		79,208		41,725		7,031		18,397		16,199		5,369		4,655		5,265		7,860		3,757		13,232		226
Malpractice and other insurance liabilities, net of current portion		2,467,149		–		366,756		487,249		601,247		269,595		268,574		133,402		79,424		27,928		30,169		50,903		63,246		37,992		50,664		–
Other long-term liabilities		1,199,537		–		39,692		221,038		412,515		97,814		140,461		99,497		60,435		41,453		25,779		12,199		14,258		11,346		22,080		970
Total liabilities		14,835,750		(504,321)		5,281,952		2,480,480		2,913,633		937,557		1,135,929		1,089,646		335,672		166,244		156,969		138,066		184,918		260,301		234,724		23,980
Commitments and contingencies																																
Net assets:																																
Without donor restrictions		7,300,270		116,679		164,615		1,353,781		1,341,305		1,212,842		971,286		75,054		593,843		40,176		13,077		472,610		586,399		65,955		282,187		10,461
With donor restrictions		880,079		–		–		218,151		238,780		9,872		260,718		26,822		36,411		26,395		7,268		21,241		938		30,311		1,710		1,462
Total net assets		8,180,349		116,679		164,615		1,571,932		1,580,085		1,222,714		1,232,004		101,876		630,254		66,571		20,345		493,851		587,337		96,266		283,897		11,923
Total liabilities and net assets	\$	23,016,099	\$	(387,642)	\$	5,446,567	\$	4,052,412	\$	4,493,718	\$	2,160,271	\$	2,367,933	\$	1,191,522	\$	965,926	\$	232,815	\$	177,314	\$	631,917	\$	772,255	\$	356,567	\$	518,621	\$	35,903

Northwell Health, Inc.

Combining Statement of Financial Position – Joint Venture Ambulatory Surgery Centers
(In Thousands)

December 31, 2025

	Joint Venture Ambulatory Surgery Centers	Endoscopy Center of Long Island, LLC	Endo Group, LLC	South Shore Surgery Center, LLC	Digestive Health Center of Huntington, LLC	Melville SC, LLC	Long Island Center for Digestive Health, LLC	Lynbrook SC, LLC	Surgical Specialty Center of Westchester, LLC	Port Jefferson ASC, LLC
Assets										
Current assets:										
Cash and cash equivalents	\$ 13,554	\$ 1,280	\$ 3,682	\$ 749	\$ 745	\$ 495	\$ 794	\$ 3,792	\$ 591	\$ 1,426
Accounts receivable for services to patients, net	9,279	—	1,416	1,159	627	3,627	722	—	—	1,728
Other current assets	3,484	21	255	733	77	684	323	—	415	976
Total current assets	26,317	1,301	5,353	2,641	1,449	4,806	1,839	3,792	1,006	4,130
Property, plant and equipment, net	13,212	775	3,979	1,144	647	938	1,539	1,246	2	2,942
Right-of-use assets – operating leases	34,261	3,618	15,339	1,223	17	1,836	2,158	4,409	2,331	3,330
Other assets	105,989	29,939	6,329	4,143	4,237	13,412	17,303	16,862	5,222	8,542
Total assets	\$ 179,779	\$ 35,633	\$ 31,000	\$ 9,151	\$ 6,350	\$ 20,992	\$ 22,839	\$ 26,309	\$ 8,561	\$ 18,944
Liabilities and net assets										
Current liabilities:										
Accounts payable and accrued expenses	\$ 6,112	\$ 178	\$ 385	\$ 363	\$ 95	\$ 523	\$ 2,253	\$ 389	\$ 350	\$ 1,576
Accrued salaries and related benefits	1,214	221	75	184	59	203	—	189	128	155
Current portion of operating lease obligations	4,323	325	897	417	17	287	353	1,277	240	510
Current portion of finance lease obligations	894	—	213	43	—	3	372	94	64	105
Current portion of long-term debt	1,584	198	456	—	12	—	—	—	103	815
Total current liabilities	14,127	922	2,026	1,007	183	1,016	2,978	1,949	885	3,161
Due to affiliates, net	20,204	1,385	384	62	39	—	12	16,819	103	1,400
Operating lease obligations, net of current portion	31,482	3,436	14,442	806	—	1,754	2,018	3,363	2,091	3,572
Finance lease obligations, net of current portion	1,675	—	591	180	—	—	493	210	105	96
Long-term debt, net of current portion	3,376	395	624	—	37	—	—	—	324	1,996
Total liabilities	70,864	6,138	18,067	2,055	259	2,770	5,501	22,341	3,508	10,225
Commitments and contingencies										
Net assets:										
Without donor restrictions	108,915	29,495	12,933	7,096	6,091	18,222	17,338	3,968	5,053	8,719
Total net assets	108,915	29,495	12,933	7,096	6,091	18,222	17,338	3,968	5,053	8,719
Total liabilities and net assets	\$ 179,779	\$ 35,633	\$ 31,000	\$ 9,151	\$ 6,350	\$ 20,992	\$ 22,839	\$ 26,309	\$ 8,561	\$ 18,944

Northwell Health, Inc.

Consolidating Statement of Operations
(In Thousands)

Year Ended December 31, 2025

	Northwell Health, Inc. Total	Eliminations	Northwell Health Obligated Group	South Oaks Hospital	Hospice Care Network	The Feinstein Institutes for Medical Research	Northwell Foundation	Northwell Health Laboratories	Captive Insurance Companies	Northwell Family Health Center at Huntington	Joint Venture Ambulatory Surgery Centers	Other Northwell Health Entities
Operating revenue:												
Net patient service revenue	\$ 13,865,706	\$ (1,091)	\$ 13,446,370	\$ 122,429	\$ 65,184	\$ –	\$ –	\$ –	\$ –	\$ 5,293	\$ 149,766	\$ 77,755
Physician practice revenue	3,910,326	(187,495)	2,138,199	996	177	–	–	–	–	–	–	1,958,449
Total patient revenue	17,776,032	(188,586)	15,584,569	123,425	65,361	–	–	–	–	5,293	149,766	2,036,204
Other operating revenue	2,187,902	(2,357,324)	2,210,321	1,998	1,278	107,845	–	934,445	8,622	2,800	654	1,277,263
Net assets released from restrictions used for operations	83,980	–	63,410	–	928	19,167	–	–	–	475	–	–
Total operating revenue	20,047,914	(2,545,910)	17,858,300	125,423	67,567	127,012	–	934,445	8,622	8,568	150,420	3,313,467
Operating expenses:												
Salaries	10,422,371	(290,410)	8,741,398	75,655	30,935	97,524	–	197,948	–	6,286	26,775	1,536,260
Employee benefits	2,188,676	(504,493)	2,198,513	33,872	12,512	32,720	–	77,262	–	2,781	5,846	329,663
Supplies and expenses	6,166,719	(1,751,007)	5,633,099	17,526	21,489	40,288	–	610,072	11,079	3,053	63,318	1,517,802
Depreciation and amortization	826,329	–	761,414	2,932	212	8,013	–	7,639	–	588	3,941	41,590
Interest	195,828	–	195,481	4	–	–	–	–	–	–	343	–
Total operating expenses	19,799,923	(2,545,910)	17,529,905	129,989	65,148	178,545	–	892,921	11,079	12,708	100,223	3,425,315
Excess (deficiency) of operating revenue over operating expenses	247,991	–	328,395	(4,566)	2,419	(51,533)	–	41,524	(2,457)	(4,140)	50,197	(111,848)
Non-operating gains and losses:												
Investment income	456,886	–	430,127	251	6,407	215	6,271	(47)	11,008	(1)	(322)	2,977
Change in net unrealized gains and losses and change in value of equity method investments	117,558	–	107,019	–	1,619	55	1,468	–	5,864	–	–	1,533
Change in interest in acquired entities	–	(33,337)	34,295	–	–	–	–	–	–	–	–	(958)
Non-operating net periodic benefit credit (cost)	1,471	–	1,587	302	(21)	54	(30)	(47)	–	53	–	(427)
Gain on refunding of long-term debt	13,329	–	13,329	–	–	–	–	–	–	–	–	–
Other non-operating gains and losses	(27,567)	–	8,130	–	–	–	(33,453)	–	–	–	8	(2,252)
Total non-operating gains and losses	561,677	(33,337)	594,487	553	8,005	324	(25,744)	(94)	16,872	52	(314)	873
Excess (deficiency) of revenue and gains and losses over expenses	809,668	(33,337)	922,882	(4,013)	10,424	(51,209)	(25,744)	41,430	14,415	(4,088)	49,883	(110,975)
Net assets released from restrictions for capital asset acquisitions	57,828	–	57,322	–	–	506	–	–	–	–	–	–
Transfers from (to) affiliates	–	–	(352,767)	90,000	–	49,742	25,793	–	–	4,000	–	183,232
Pension and other postretirement liability adjustments	(40,738)	–	(36,235)	(2,153)	–	–	(50)	(1,432)	–	–	–	(868)
Transfers to Nuvance Health	(224,666)	–	(224,666)	–	–	–	–	–	–	–	–	–
Other changes in net assets	(25,265)	33,733	(4,175)	1	3	13	1	307	(1,500)	3	(48,680)	(4,971)
Increase (decrease) in net assets without donor restrictions	\$ 576,827	\$ 396	\$ 362,361	\$ 83,835	\$ 10,427	\$ (948)	\$ –	\$ 40,305	\$ 12,915	\$ (85)	\$ 1,203	\$ 66,418

Northwell Health, Inc.

Combining Statement of Operations – Northwell Health Obligated Group
(In Thousands)

Year Ended December 31, 2025

	Total Obligated Group	Eliminations	Northwell Healthcare, Inc.	North Shore University Hospital	Long Island Jewish Medical Center	Staten Island University Hospital	Lenox Hill Hospital	South Shore University Hospital	Huntington Hospital Association	Glen Cove Hospital	Plainview Hospital	Phelps Memorial Hospital Association	Northern Westchester Hospital Association	Peconic Bay Medical Center	John T. Mather Memorial Hospital	Northwell Health Stern Family Center for Rehabilitation
Operating revenue:																
Net patient service revenue	\$ 13,446,370	\$ (71)	\$ –	\$ 2,758,157	\$ 3,637,233	\$ 1,541,897	\$ 1,694,086	\$ 915,416	\$ 578,891	\$ 227,432	\$ 287,029	\$ 431,745	\$ 520,818	\$ 328,319	\$ 462,067	\$ 63,351
Physician practice revenue	2,138,199	–	–	699,066	628,363	2,053	184,159	266,500	168,539	39,066	56,597	2,976	40,432	23,368	26,336	744
Total patient revenue	15,584,569	(71)	–	3,457,223	4,265,596	1,543,950	1,878,245	1,181,916	747,430	266,498	343,626	434,721	561,250	351,687	488,403	64,095
Other operating revenue	2,210,321	(2,761,933)	2,834,652	542,821	728,785	204,516	416,590	86,391	30,187	8,549	11,934	57,909	23,839	15,696	9,718	667
Net assets released from restrictions used for operations	63,410	–	4,337	20,942	27,251	–	9,256	212	32	–	–	558	647	125	50	–
Total operating revenue	17,858,300	(2,762,004)	2,838,989	4,020,986	5,021,632	1,748,466	2,304,091	1,268,519	777,649	275,047	355,560	493,188	585,736	367,508	498,171	64,762
Operating expenses:																
Salaries	8,741,398	(1,036,441)	1,196,430	2,098,957	2,291,093	787,286	1,086,329	617,176	389,735	158,231	178,227	221,219	269,652	186,192	256,410	40,902
Employee benefits	2,198,513	(313,745)	389,785	430,399	601,213	251,678	255,727	143,284	89,937	39,413	53,055	50,621	72,788	60,486	58,562	15,310
Supplies and expenses	5,633,099	(1,411,818)	874,184	1,308,363	1,881,561	606,209	858,202	416,802	238,935	77,812	106,980	191,173	197,866	116,487	158,540	11,803
Depreciation and amortization	761,414	–	292,914	102,952	108,359	39,686	53,466	42,767	17,822	9,219	11,248	22,689	26,411	14,961	17,631	1,289
Interest	195,481	–	85,321	31,714	45,631	8,527	4,440	12,725	2,971	754	77	719	436	535	1,626	5
Total operating expenses	17,529,905	(2,762,004)	2,838,634	3,972,385	4,927,857	1,693,386	2,258,164	1,232,754	739,400	285,429	349,587	486,421	567,153	378,661	492,769	69,309
Excess (deficiency) of operating revenue over operating expenses	328,395	–	355	48,601	93,775	55,080	45,927	35,765	38,249	(10,382)	5,973	6,767	18,583	(11,153)	5,402	(4,547)
Non-operating gains and losses:																
Investment income	430,127	–	94,803	62,239	95,965	64,879	8,694	5,089	42,861	3,713	(96)	15,161	23,070	3,199	9,793	757
Change in net unrealized gains and losses and change in value of equity method investments	107,019	–	19,981	22,712	27,527	16,312	2,460	(1,353)	9,080	779	(1)	5,053	1,054	871	2,375	169
Change in interest in acquired entities	34,295	–	7,476	28,196	–	–	–	–	–	–	–	–	–	–	(1,377)	–
Non-operating net periodic benefit credit (cost)	1,587	–	(6,875)	466	542	(42)	2,967	989	1,871	92	342	(98)	416	59	870	(12)
Gain on refunding of long-term debt	13,329	–	–	1,873	10,011	–	–	530	736	99	80	–	–	–	–	–
Other non-operating gains and losses	8,130	–	7,947	–	325	–	–	–	–	–	–	(1,345)	117	1,086	–	–
Total non-operating gains and losses	594,487	–	123,332	115,486	134,370	81,149	14,121	5,255	54,548	4,683	325	18,771	24,657	5,215	11,661	914
Excess (deficiency) of revenue and gains and losses over expenses	922,882	–	123,687	164,087	228,145	136,229	60,048	41,020	92,797	(5,699)	6,298	25,538	43,240	(5,938)	17,063	(3,633)
Net assets released from restrictions for capital asset acquisitions	57,322	–	1	20,144	25,029	1,274	2,324	3,330	371	261	–	624	250	200	3,514	–
Transfers to affiliates	(352,767)	–	(189,899)	(96,357)	(35,828)	(75)	–	–	–	–	–	–	–	(15,478)	(15,130)	–
Pension and other postretirement liability adjustments	(36,235)	–	(16,540)	(7,562)	(5,214)	–	(1,956)	(660)	(1,130)	(868)	92	–	(866)	–	(1,462)	(69)
Transfers to Nuvance Health	(224,666)	–	(224,666)	–	–	–	–	–	–	–	–	–	–	–	–	–
Other changes in net assets	(4,175)	–	1,876	1,177	(13,762)	232	(112)	(300)	197	82	96	(112)	159	152	6,133	7
Increase (decrease) in net assets without donor restrictions	\$ 362,361	\$ –	\$ (305,541)	\$ 81,489	\$ 198,370	\$ 137,660	\$ 60,304	\$ 43,390	\$ 92,235	\$ (6,224)	\$ 6,486	\$ 26,050	\$ 42,783	\$ (21,064)	\$ 10,118	\$ (3,695)

Northwell Health, Inc.

Combining Statement of Operations – Joint Venture Ambulatory Surgery Centers
(In Thousands)

Year Ended December 31, 2025

	Joint Venture Ambulatory Surgery Centers	Endoscopy Center of Long Island, LLC	Endo Group, LLC	South Shore Surgery Center, LLC	Digestive Health Center of Huntington, LLC	Melville SC, LLC	Long Island Center for Digestive Health, LLC	Lynbrook SC, LLC	Surgical Specialty Center of Westchester, LLC	Port Jefferson ASC, LLC
Operating revenue:										
Net patient service revenue	\$ 149,766	\$ 25,909	\$ 42,942	\$ 16,183	\$ 7,726	\$ 10,894	\$ 9,764	\$ 20,455	\$ 10,524	\$ 5,369
Total patient revenue	149,766	25,909	42,942	16,183	7,726	10,894	9,764	20,455	10,524	5,369
Other operating revenue	654	–	200	32	–	136	1	179	106	–
Total operating revenue	150,420	25,909	43,142	16,215	7,726	11,030	9,765	20,634	10,630	5,369
Operating expenses:										
Salaries	26,775	2,678	6,331	2,581	1,566	2,894	1,971	4,307	2,925	1,522
Employee benefits	5,846	551	1,293	521	322	576	365	1,406	591	221
Supplies and expenses	63,318	7,756	20,242	6,566	2,026	5,103	2,529	9,515	5,559	4,022
Depreciation and amortization	3,941	193	993	405	38	154	535	451	739	433
Interest	343	42	86	8	6	–	55	31	21	94
Total operating expenses	100,223	11,220	28,945	10,081	3,958	8,727	5,455	15,710	9,835	6,292
Excess (deficiency) of operating revenue over operating expenses	50,197	14,689	14,197	6,134	3,768	2,303	4,310	4,924	795	(923)
Non-operating gains and losses:										
Investment income, net of fees	(322)	23	(7)	(68)	(34)	(62)	(86)	(31)	(1)	(56)
Other non-operating gains and losses	8	–	–	–	–	–	8	–	–	–
Total non-operating gains and losses	(314)	23	(7)	(68)	(34)	(62)	(78)	(31)	(1)	(56)
Excess (deficiency) of revenue and gains and losses over expenses	49,883	14,712	14,190	6,066	3,734	2,241	4,232	4,893	794	(979)
Other changes in net assets	(48,680)	(14,247)	(13,673)	(6,131)	(2,746)	(1,804)	(4,086)	(4,599)	(1,174)	(220)
Increase (decrease) in net assets without donor restrictions	\$ 1,203	\$ 465	\$ 517	\$ (65)	\$ 988	\$ 437	\$ 146	\$ 294	\$ (380)	\$ (1,199)

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